

**Auditor's Report along with Audited Financial
Statements of
Bangladesh Infrastructure Finance Fund Limited
For the year ended 31 December 2021**

Independent Auditor's Report
To the Shareholders of Bangladesh Infrastructure Finance Fund Limited

Opinion

We have audited the financial statements of Bangladesh Infrastructure Finance Fund Limited (the Company), which comprise the Balance Sheet as at December 31, 2021, and Profit and Loss Account and Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) as explained in note # 2 to the financial statements.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) and Bangladesh Bank and we have fulfilled our other ethical responsibilities in accordance with IESBA Code and the Institute of Chartered Accountants of Bangladesh (ICAB) Bye-Laws. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matters

Without modifying our opinion, we are drawing attention to the following matters:

1. In note # 47 (b) (1) to the financial statements, the Company disclosed the status of compliance of the Financial Reporting Council (FRC) notification # 179/FRC/FRN/notification/2020/2 dated 07 July 2020.
2. In note # 04 to the financial statements, the Company disclosed amounting to BDT 18,836,570,703 as 'Balance with other banks and financial institutions', which inter-alia includes, Fixed deposit accounts (FDRs) amounting to BDT 6,229,629,824. FDRs amounting to BDT 4,687,301,219 (75.24% of total FDRs) were deposited into banking and Non-banking Financial Institutions. However, the bank and NBFIs neither pay the principal amount nor the interest for long (except for some immaterial amount of interest). It is a clear indication of impairment of those FDRs. However, the Company did not keep adequate provisions for those FDRs. The Company kept provisions amounting to BDT 1,405,533,938 (22.56% of the total balance of FDR).
3. In note # 8.2 to the financial statements, the Company disclosed 'Capital work in progress' amounting to BDT 8,800,000 against the implementation of Core Financial Solution/Core Banking Solution since 2019.



4. In note # 13.6 to the financial statements, the Company disclosed the reasons for transferring 'Interest on short-term investment (FDRs)' and 'Interest on loans and advances to 'Interest suspense account'.
5. In note # 2.11.02 to the financial statements, among others the Company disclosed the reason for not making any provision for workers' profit participation fund.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of 2021. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Risk	Our response to the risk
Measurement of provision for loans and advances The process for estimating the provision for loans and advances portfolio associated with credit risk is significant and complex. For the individual (party-wise) analysis, these provisions consider the estimates of future business performance and the market value of the collateral provided for credit transactions. At year end the Company reported total gross loans and advances of BDT 16,394,424,310 (2020: BDT 18,363,380,418) and provision for loans and advances and others at the year-end BDT 2,357,837,443 (2020: BDT 1,671,846,464). We have focused on the following significant judgments and estimates which could give rise to a material misstatement or management bias: • Completeness and timing of recognition of loss events in accordance with criteria set out in FID circular no 08, dated 03 August 2002, FID circular no. 03, dated 03 May 2006, FID circular no.03 dated 29 April 2013 and DFIM circular no.04 dated 26 July 2021; • For assessed provisions, the measurement of the provision may be dependent on the valuation of collateral, estimates of exit values and the timing of cash flows; and • Provision measurement is primarily dependent upon key assumptions relating to the probability of	
We tested the design and operating effectiveness of key controls focusing on the following: • Tested the credit appraisal, loan disbursement procedures, monitoring and provisioning process; • Reviewed the process of identification of loss events, including early warning and default warning indicators and • Reviewed quarterly Classification of Loans (CL); Our substantive procedures in relation to the provision for loans and advances portfolio comprised the following: • Reviewed the adequacy of the Company's general and specific provisions; • Assessed the methodologies on which the provision amounts based, recalculated the provisions and tested the completeness and accuracy of the underlying information; and • Finally assessed the appropriateness and presentation of disclosures against relevant accounting standards and Bangladesh Bank guidelines.	

Risk	Our response to the risk
default, the ability to repossess collateral, and recovery rates.	
See note # 7 and 13.5 to the financial statements.	
Borrowing from other banks and other financial institutions	
We focused on this area because the Company receives loans from different donor agencies through GoB to implement infrastructure development projects in Bangladesh. Such an arrangement should be guided by strict internal control. Any non-compliance of the financing agreements with the donor agencies may create major credit risk for the Company.	In responding to the identified key audit matter, we have performed the following procedures: • Checked the drawdowns of borrowings from donor agency's server on a sample basis; • Reviewed the repayments made to the agencies as required on a sample basis; • Recalculated repayment schedule of the loans from donor agencies on a sample basis and • Reviewed the agreements with the donor agencies and checked whether the Company has complied with the requirements of the agreements on a sample basis.
See note # 11 to the financial statements.	
IT systems and controls	
Our audit procedures have a focus on IT systems and controls due to the pervasive nature and complexity of the IT environment, the large volume of transactions processed in numerous locations daily and the reliance on automated and IT- dependent manual controls.	We tested the design and operating effectiveness of the Company's IT access controls over the information systems that are critical to financial reporting. We tested IT general controls (logical access, changes management and aspects of IT operational controls). This included testing that requests for access to systems were appropriately reviewed and authorized. We tested the Company's periodic review of access rights and reviewed requests of changes to systems for appropriate approval and authorization. We considered the control environment relating to various interfaces, configuration and other application-layer controls identified as key to our audit.
See note # 2.25 to the financial statements.	

Other Information

Management is responsible for the other information. The other information comprises all of the information in the Annual Report other than the financial statements and our auditor's report thereon. The Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs as explained on note # 2 and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to

continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the Company's financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other Legal and Regulatory Requirements

In accordance with the Companies Act 1994, the Financial Institutions Act, 1993 and the rules and regulations issued by Bangladesh Bank, we also report the following:

- a) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit and made due verification thereof;
- b) in our opinion, proper books of accounts as required by law have been kept by the Company so far as it appeared from our examination of those books;
- c) the balance sheet and profit and loss account together with the annexed notes dealt with by the report are in agreement with the books of accounts and returns;
- d) the expenditure incurred was for the purposes of the Company's business for the year;
- e) The financial statements of the Company have been drawn up in conformity with Financial Institutions Act, 1993 and in accordance with International Financial Reporting Standards as explained in notes as well as with related guidance, circulars issued by Bangladesh Bank;
- f) adequate provisions have been made for loans, leases, investment, advances and other assets which are, in our opinion, doubtful of recovery and Bangladesh Bank's instructions in this regard have been followed properly;

**ACNABIN**

Chartered Accountants

- g) the financial statements of the Company conform to the prescribed standards set in the accounting regulations which were issued by Bangladesh Bank after consultation with the professional accounting bodies of Bangladesh;
- h) statements sent to Bangladesh Bank have been checked on a sample basis and no inaccuracy has come to our attention;
- i) taxes and other duties were collected and deposited in the Government treasury by the Company as per Government instructions found satisfactory based on test checking;
- j) nothing has come to our attention that the Company has adopted any unethical means i.e. 'window dressing' to inflate the profit and mismatch between the maturities of assets and liabilities;
- k) proper measures have been taken to eliminate the irregularities mentioned in the inspection report of Bangladesh Bank and the instructions which were issued by Bangladesh Bank and other regulatory authorities have been complied properly as disclosed to us by management;
- l) based on our work as mentioned above under the auditor's responsibility section, the internal control and the compliance of the Company is satisfactory, and effective measures have been taken to prevent possible material fraud, forgery and internal policies are being followed appropriately;
- m) the Company has complied with relevant laws pertaining to capital, reserve and net worth, cash and liquid assets and procedure for sanctioning and disbursing loans/leases found satisfactory;
- n) We have reviewed over 80% of the risk-weighted assets of the Company, and we have spent around 2680 person-hours for the audit of the books and accounts of the Company;
- o) the Company has complied with relevant instructions which were issued by Bangladesh Bank relevant to classification, provisioning and calculation of interest suspense;
- p) the Company has complied with the "First Schedule" of the Financial Institutions Act, 1993 in preparing these financial statements; and
- q) all other issues which in our opinion are important for the stakeholders of the Company have been adequately disclosed in the audit report.

Dated, Dhaka**31 MAY 2022****ACNABIN, Chartered Accountant**

Muhammad Aminul Hoque, FCA
Partner
ICAB Enrolment # 1129

DVC:2205311129AS213918

Bangladesh Infrastructure Finance Fund Limited
Balance Sheet
As at 31 December 2021

Particulars	Notes	Amount in Taka	
		31-Dec-21	31-Dec-20
Property and Assets			
Cash	3	15,293,480	1,686,760
In hand (including foreign currencies)		94,713	89,501
Balance with Bangladesh Bank and its agent bank(s) (including foreign currencies)		15,198,767	1,597,259
Balance with banks and other financial institutions	4	18,836,570,703	12,512,084,193
Inside Bangladesh		18,836,570,703	12,512,084,193
Outside Bangladesh		-	-
Money at call and on short notice	5	26,900,000	26,900,000
Investments:	6	2,591,151,513	3,169,028,755
Government		-	-
Others		2,591,151,513	3,169,028,755
Loans and advances	7	16,394,424,310	18,363,380,418
Loans, cash credits, overdrafts etc.		16,394,424,310	18,363,380,418
Bills purchased and discounted		-	-
Fixed assets including premises, furniture and fixtures	8	203,647,232	223,092,676
Other assets	9	5,453,215,247	4,806,544,377
Non-banking assets	10	-	-
Total Property and Assets		43,521,202,485	39,102,717,178
Liabilities and Shareholders' Equity			
Liabilities			
Borrowing from other banks, financial institutions and agents	11	7,133,286,673	4,844,313,906
Deposits and other accounts	12	-	-
Current accounts and other accounts etc.		-	-
Bills payable		-	-
Savings bank deposits		-	-
Term deposits		-	-
Bearer certificate of deposits		-	-
Other deposits		-	-
Other liabilities	13	9,856,344,792	8,122,597,188
Total Liabilities		16,989,631,465	12,966,911,094
Capital/Shareholders' Equity		26,531,571,021	26,135,806,084
Paid up capital	14	23,080,000,000	23,080,000,000
Statutory reserve	15	1,889,879,355	1,767,400,439
General reserve	16	150,000,000	100,000,000
Retained earnings	17	1,411,691,666	1,188,405,645
Total Liabilities and Shareholders' Equity		43,521,202,485	39,102,717,178



Particulars	Notes	Amount in Taka	
		31-Dec-21	31-Dec-20
OFF-BALANCE SHEET ITEMS :			
Contingent liabilities	18	247,158,051	454,800,000
Acceptances and endorsements		-	-
Letter of comfort	18.1	247,158,051	454,800,000
Irrevocable letter of credit		-	-
Bills for collection		-	-
Other contingent liabilities		-	-
Other commitments		-	-
Documentary credits and short term trade-related transactions		-	-
Forward assets purchased and forward deposits placed		-	-
Undrawn note issuance and revolving underwriting facilities		-	-
Undrawn formal standby facilities, credit lines		-	-
Others		-	-
Total Off-Balance Sheet Items including contingent liabilities		247,158,051	454,800,000
Net Asset Value (NAV) per share	38	114.95	113.24

Annexed notes form an integral part of these financial statements.


Company Secretary


Chief Executive Officer


Director


Chairman

Signed as per our report on same date

ACNABIN Chartered Accountants

Dated, Dhaka

30 MAY 2022


Muhammad Aminul Hoque FCA
Partner
ICAB Enrolment Number # 1129

DVC:2205311129AS213918

Bangladesh Infrastructure Finance Fund Limited
Profit and Loss Account
For the year ended 31 December 2021

Particulars	Notes	Amount in Taka	
		31-Dec-21	31-Dec-20
Operating Income			
Interest income from leases, loans and advances	20	1,370,359,895	1,120,550,039
Less: Interest expenses on deposits & borrowings etc.	21	119,530,730	90,286,117
Net interest income		1,250,829,165	1,030,263,922
Investment income	22	290,892,324	325,936,996
Commission, exchange and brokerage		-	-
Other operating income	23	689,999,574	453,952,651
Total operating income		2,231,721,063	1,810,153,567
Operating Expenses			
Salary and allowances	24	65,342,353	61,387,080
Rent, taxes, insurance, electricity etc.	25	2,101,236	1,714,828
Legal expenses	26	351,094	195,188
Postage, stamp, telecommunication etc.	27	2,323,655	1,666,318
Stationery, printing, advertisement etc.	28	1,846,658	1,866,053
Managing Director's salary and allowances	29	9,236,712	6,983,548
Directors' fees	30	953,316	909,318
Auditors' fees	31	410,350	404,000
Charges on loan losses		-	-
Depreciation and repairs of company's assets	32	20,605,411	45,523,680
Other operating expenses	33	19,029,721	17,030,777
Total operating expenses		122,200,505	137,680,789
Profit before provision		2,109,520,558	1,672,472,778
Provision for investment, leases, loans and advances	34	435,395,758	-
Provision for diminution in value of investments		-	-
Other provision	35	250,595,221	500,000,000
Total provision		685,990,979	500,000,000
Total profit before income tax		1,423,529,579	1,172,472,778
Provision for income tax	36	811,134,997	630,898,665
Net profit after tax & provision		612,394,582	541,574,113
Appropriations to:			
Statutory reserve	15	172,478,916	158,314,823
General reserve	16	122,478,916	108,314,823
Retained surplus		50,000,000	50,000,000
Earnings per share (EPS)	37	439,915,666	383,259,290
		2.65	2.35

Annexed notes form an integral part of these financial statements.


Company Secretary


Chief Executive Officer


Director

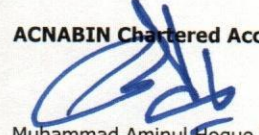

Chairman

Signed as per our report on same date

Dated, Dhaka

30 MAY 2022

ACNABIN Chartered Accountants


Muhammad Aminul Hoque FCA
Partner
ICAB Enrolment Number # 1129

DVC:2205311129AS213918

Bangladesh Infrastructure Finance Fund Limited
Statement of Cash Flows
For the year ended 31 December 2021

Particulars	Notes	Amount in Taka	
		31-Dec-21	31-Dec-20
A. Cash flow from operating activities:			
Interest received		1,570,158,881	999,632,315
Interest paid		(52,836,810)	(18,667,353)
Dividend received		206,358,126	210,054,728
Interest received from commercial paper & bond		116,000,080	180,302,899
Cash paid to employees		(67,982,148)	(58,693,789)
Cash paid to suppliers		(6,185,445)	(8,252,674)
Income taxes paid		(685,646,513)	(781,687,573)
Received from other operating activities		692,611,852	461,089,667
Paid for other operating activities		(20,068,591)	(17,854,541)
Cash generated from operating activities		1,752,409,431	965,923,679
Increase/(decrease) in operating assets and liabilities, statutory deposits			
Loans and advances to other banks		-	-
Investment		-	-
Loans and advances to other customers		1,827,118,467	1,330,595,828
Other assets		(3,945)	(1,547,642)
Borrowings from banks, financial institutions and agents		2,200,270,214	626,430,404
Deposits from other banks /institutions		-	(504,618,055)
Other liabilities		196,792,621	194,847,509
		4,224,177,358	1,645,708,043
Net cash flow from/(used in) operating activities		5,976,586,789	2,611,631,723
B. Cash flow from investing activities:			
Purchase of property, plant and equipment net of disposal proceeds		(177,154)	(351,408)
Proceed from investment in securities		577,877,242	286,833,431
Investment made during the period		-	(200,000,000)
Proceeds from disposal of fixed assets		436,000	18,500
Net cash flow from/(used in) investing activities		578,136,088	86,500,523
C. Cash flow from financing activities:			
Dividend paid		(216,629,645)	(181,196,112)
Issuance of shares		-	2,000,000,000
Net cash used in financing activities		(216,629,645)	1,818,803,888
D. Net increase/(decrease) in cash and cash equivalents (A+B+C)		6,338,093,231	4,516,936,134
E. Effects of exchange rate changes on cash and cash equivalents		-	-
F. Cash and cash equivalents at the beginning of the year		12,540,670,953	8,023,734,820
G. Cash and cash equivalents at the end of the year (D+E+F)		18,878,764,183	12,540,670,953
Cash and cash equivalents at the end of the year			
Cash in hand	3.1	94,713	89,501
Balance with Bangladesh Bank and its agent bank(s)	3.2	15,198,767	1,597,259
Balance with other banks and financial institutions	4	18,836,570,703	12,512,084,193
Money at call and short notice	5	26,900,000	26,900,000
		18,878,764,183	12,540,670,953
Net operating cash flow per share (NOCFPS)	39	25.90	11.32

Annexed notes form an integral part of these financial statements.


Company Secretary


Chief Executive Officer


Director


Chairman

Dated, Dhaka

30 MAY 2022

Bangladesh Infrastructure Finance Fund Limited
Statement of Changes in Equity
For the year ended 31 December 2021

Particulars	Amount in Taka				
	Paid-up capital	Statutory reserve	General Reserve	Retained earnings	Total
Balance as on 1 January 2020	21,080,000,000	1,659,085,617	50,000,000	986,342,467	23,775,428,084
Net profit for the year	-	-	-	541,574,113	541,574,113
Cash dividend	-	-	-	(181,196,112)	(181,196,112)
Share issue	2,000,000,000.00	-	-	-	2,000,000,000
Stock dividend	-	-	-	-	-
Appropriations made during the year	-	108,314,823	50,000,000	(158,314,823)	-
Balance as on 31 December 2020	23,080,000,000	1,767,400,440	100,000,000	1,188,405,645	26,135,806,084
Balance as on 1 January 2021	23,080,000,000	1,767,400,439	100,000,000	1,188,405,645	26,135,806,084
Net profit for the year	-	-	-	612,394,582	612,394,582
Share issue	-	-	-	-	-
Cash dividend	-	-	-	(216,629,645)	(216,629,645)
Stock dividend	-	-	-	-	-
Appropriations made during the year	-	122,478,916	50,000,000	(172,478,916)	-
Balance as on 31 December 2021	23,080,000,000	1,889,879,356	150,000,000	1,411,691,665	26,531,571,021

Annexed notes form an integral part of these financial statements.


Company Secretary


Chief Executive Officer


Director


Chairman

Dated, Dhaka

30 MAY 2022



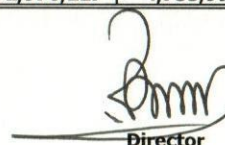
Bangladesh Infrastructure Finance Fund Limited
Liquidity Statement
Asset and Liability Maturity Analysis
As at 31 December 2021

Particulars	Amount in Taka					Total
	Not more than 1 month term	1 to 3 months	3 to 12 months	1 to 5 years	More than 5 years	
Assets						
Cash in hand and balance with Bangladesh Bank and its agent bank(s)	15,293,480	-	-	-	-	15,293,480
Balance with banks and other financial institutions	12,991,940,879	1,580,780,073	973,317,534	3,290,532,217	-	18,836,570,703
Money at call and short notice	26,900,000	-	-	-	-	26,900,000
Investments	-	47,989,041	558,056,880	1,650,000,000	335,105,593	2,591,151,513
Loans and advances	35,794,301	1,206,066,934	3,348,214,077	9,801,687,724	2,002,661,274	16,394,424,310
Fixed assets including land, buildings, furniture and fixtures	-	-	-	-	203,647,232	203,647,232
Other assets	17,643,703	43,048,502	38,480,575	34,745,716	5,319,296,752	5,453,215,247
Non-banking assets	-	-	-	-	-	-
Total Assets (A)	13,087,572,363	2,877,884,550	4,918,069,065	14,776,965,656	7,860,710,850	43,521,202,485
Liabilities						
Borrowing from other banks, financial institutions and agents	924,974	1,145,026	155,280,616	2,994,379,820	3,981,556,237	7,133,286,673
Deposits	-	-	-	-	-	-
Other accounts	-	-	-	-	-	-
Provision and other liabilities	1,018,181	3,769,297	28,795,097	-	9,822,762,217	9,856,344,792
Total Liabilities (B)	1,943,155	4,914,323	184,075,713	2,994,379,820	13,804,318,454	16,989,631,465
Net liquidity gap (A-B)	13,085,629,208	2,872,970,227	4,733,993,352	11,782,585,836	(5,943,607,603)	26,531,571,021

Annexed notes form an integral part of these financial statements.


Company Secretary


Chief Executive Officer


Director


Chairman

Dated, Dhaka

30 MAY 2022



Bangladesh Infrastructure Finance Fund Limited
Notes to the Financial Statements
For the year ended 31 December 2021

1 Reporting entity

1.01 Company profile

Bangladesh Infrastructure Finance Fund Limited hereinafter also referred to as 'BIFFL' started its journey as a Public Limited Company on 21 March 2011, registered under Company's Act 1994 (ACT XVIII of 1994). The authorized share capital of the Company is BDT100 (one hundred) billion divided into 1 (one) billion shares of BDT100 each and the subscribed share capital or paid-up capital is BDT23.08 billion. Certificate of Incorporation was issued by the Registrar of Joint Stock Companies and Firms (RJSC). The business of the Company had commenced from the same date and the Certificate of Commencement of business was also issued by RJSC. BIFFL has also received license from Bangladesh Bank on 16 October 2011 to operate as a Non-Bank Financial Institution under the Financial Institutions Act 1993.

Presently, the Company has an 8-member Board of Directors. The overall policy decisions of the Company are vested with the Board of Directors. The Board of Directors of BIFFL includes: Senior Secretary, Finance Division, MoF; Secretary, Power Division, MoPEMR; Secretary, Road Transport and Highways' Division, MoRT&B; Secretary, Bridges Division, MoRT&B; Senior Secretary, Energy & Mineral Resources Division, MoPEMR; Secretary, Prime Minister's Office; Secretary, Economic Relations Divisions, MoF; and Joint Secretary, Finance Division, MoF. The Senior Secretary, Finance Division, Ministry of Finance is the Chairman of the Board. The CEO is an ex-officio member of the Board.

1.02 Nature of business

The Government of Bangladesh (GoB) has prioritized PPP program as a key initiative for increasing the investment in infrastructure. In order to create an enabling environment for attracting private investments on a sustainable basis, the GoB has also provided keen interest and attention to promote PPP in the country and also taken a series of important measures. As part of it, GoB has established BIFFL under Ministry of Finance (MoF) as a Special Purpose Vehicle (SPV) for financing infrastructure projects in Bangladesh. BIFFL has been designed to serve as channel for mobilizing domestic and foreign private resources along with the public fund through Private-Public Partnership, popularly known in its short form as 'PPP'.

The main objective of BIFFL is to provide predominantly long-term financing for infrastructure projects through issuance of bonds and debt instruments and equity offerings. BIFFL envisages attracting private investments from local & foreign investors and to invest in companies that are implementing infrastructure projects in Bangladesh.

The main goals of the company are to supplement in achieving Vision 2021, SDG 2030 and Vision 2041 of the Government through investment in infrastructure as well as sustainable development projects; to ensure adequate infrastructure development of the country through promotion of PPP; to cater to the requirements of critically important infrastructure projects through customized and structured financial solutions; and to bring in dynamism and necessary expertise in the financial industry for financing infrastructure projects.

BIFFL promotes, encourages and finance private sector investment in all critical infrastructure sectors, but not limited to the Power and Energy, Natural Resource Development, Fertilizer, Transportation System, Port Development, Air & Railway Transportation Projects, Tourism Infrastructure, Telecommunication System, Utility & Environment Management, Green & Renewable Energy Efficient Projects, Social and Industrial Infrastructure Projects, Poverty Alleviation Projects, and Urban & Rural Development Projects.

The Financial Reporting Act, 2015 (FRA) has been enacted during the year 2015. Under the FRA, the Financial Reporting Council (FRC) is to be formed and it is empowered to issue financial reporting standards for public interest entities such as Financial Institutions (FIs). The Financial Institutions Act, 1993 has been amended as required to comply for the preparation of their financial statements under such financial reporting standards. The FRC has been formed but yet to issue any financial reporting standards as per the provisions of the FRA and hence International Financial Reporting Standards (IFRSs) as adopted in Bangladesh are still applicable.

Accordingly, the financial statements of the Company continue to be prepared in accordance with International Financial Reporting Standards (IFRSs) and the requirements of the Financial Institutions Act, 1993, the rules and regulations issued by Bangladesh Bank, the Companies Act, 1994, the Securities and Exchange Rules, 1987. In case of any requirement of the Financial Institutions Act, 1993, and circulars issued by Bangladesh Bank, which differ with those of IFRSs, the requirements of the Financial Institutions Act, 1993, and circulars issued by Bangladesh Bank shall prevail. The financial statements have been prepared on historical cost basis.

2.02 Disclosure of departure from few requirements of IASs/IFRSs due to mandatory compliance of Bangladesh Bank's requirements

The Bangladesh Bank is the prime regulatory body for Non-Banking Financial Institutions (NBFI) in Bangladesh. Some requirements of Bangladesh Bank's rules and regulations differ with the requirements of IASs/IFRSs. As such the Company has departed from those contradictory requirements of IASs/IFRSs in order to comply with the rules and regulations of Bangladesh Bank which are disclosed below:

2.02.01 Valuation of Investments in quoted and unquoted shares and securities

IFRS:

As per requirements of IFRS 9, classification and measurement of investment in shares and securities will depend on how these are managed (the entity's business model) and their contractual cash flow characteristics. Based on these factors it would generally fall either under "at fair value through profit or loss account" or under "at fair value through other comprehensive income" where any change in the fair value (as measured in accordance with IFRS 13) at the year-end is taken to profit and loss account or other comprehensive income respectively.

Bangladesh Bank:

As per FID circular No. 08, dated 03 August 2002 investments in quoted shares and unquoted shares are revalued at the year end at market price and as per book value of last audited balance sheet respectively. Provision should be made as per Bangladesh Bank DFIM circular No. 02 dated January 31, 2012 for investments in marketable securities and as per Bangladesh Bank DFIM circular No. 05 dated May 11, 2015 for Mutual funds.

There is no financial impact during the year.

2.02.02 Provision on loans and advances

IFRS:

As per IFRS 9 an entity shall recognise an impairment allowance on loans and advances based on expected credit losses. At each reporting date, an entity shall measure the impairment allowance for loans and advances at an amount equal to the lifetime expected credit losses if the credit risk on these loans and advances has increased significantly since initial recognition whether assessed on an individual or collective basis considering all reasonable information, including that which is forward-looking. For those loans and advances for which the credit risk has not increased significantly since initial recognition, at each reporting date, an entity shall measure the impairment allowance at an amount equal to 12 month expected credit losses that may result from default events on such loans and advances that are possible within 12 months after reporting date.

Bangladesh Bank:

As per FID circular No. 08, dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013, a general provision at 0.25% to 5% under different categories of unclassified loans (good/ standard loans) has to be maintained irrespective of objective evidence of impairment on loans and advances. Also provision for sub-standard investments, doubtful investments and bad losses has to be provided at 20%, 50% and 100% respectively for investments depending on the duration of overdue.

2.02.03 Financial instruments - presentation and disclosure

In several cases Bangladesh Bank guidelines categories, recognise, measure and present financial instruments differently from those prescribed in IFRS 9. As such some disclosure and presentation requirements of IFRS 7 'Financial Instruments: Disclosures' and IAS 32 'Financial Instruments: Presentation' cannot be made in the accounts.

Presentation of financial statements is not fully aligned with all the requirements of IAS/IFRS.

2.02.04 Financial guarantees

IFRS:

As per requirements of IFRS 9, financial guarantees are contracts that require an entity to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the terms of a debt instrument. Financial guarantee liabilities are recognised initially at their fair value, and the initial fair value is amortised over the life of the financial guarantee. The financial guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment when a payment under the guarantee has become probable. Financial guarantees are included within other liabilities.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, financial guarantees such as L/C, L/G will be treated as off balance sheet items. No liability is recognised for the guarantee except the cash margin.

There will be no financial changes due to departure

2.02.05 Cash and cash equivalents

IFRS:

Cash equivalents are short term, highly liquid investments that are readily convertible to known amounts of cash and only include those investments which are for a short tenure like: 3 months or less period. In the light of above, balance with Bangladesh Bank and fixed term deposits should be treated as investment asset rather than cash equivalents as it is illiquid asset and not available for use in day to day operations.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements vide DFIM circular No. 11, dated 23 December 2009 which will strictly be followed by all NBFIs. The templates of financial statements provided detail presentation for statement of cash flows.

Presentation of financial statements is not fully aligned with the requirement of IAS.

2.02.06 Non-banking assets

IFRS:

There is no particular/specific guideline about non-banking assets in IFRSs.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, there must exist a face item named non-banking asset.

This is a presentation issue and there is no financial impact

2.02.07 Statement of cash flows

IFRS:

Cash flow statement can be prepared either in direct method or in indirect method. The presentation is selected to present these cash flows in a manner that is most appropriate for the business or industry. The method selected is applied consistently.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, statement of cash flows is a mixture of direct and indirect method.

Presentation of statement of cash flows is not fully aligned with the requirement of IAS and there is no financial impact.

2.02.08 Balance with Bangladesh Bank**IFRS:**

Balance with Bangladesh Bank should be not be treated as cash and cash equivalents as it is not available for use in day to day operations as per IAS 7 'Statement of Cash Flows'.

Bangladesh Bank:

Balance with Bangladesh Bank is treated as cash and cash equivalents.

This is a presentation issue and there is no financial impact

2.02.09 Off balance sheet items**IFRS:**

As per IFRS, there is no mandatory requirement for disclosure of off-balance sheet items on the face of the balance sheet.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, off balance sheet items e.g. Letter of Credit, Letter of Guarantee, Acceptance must be disclosed separately on the face of balance sheet.

This is a presentation issue and there is no financial impact

2.02.10 Disclosure of appropriation of profit**IFRS:**

There is no mandatory requirement to show appropriation of profit in the face of the profit and loss account.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, an appropriation of profit should be disclosed on the face of profit and loss account.

There is no financial impact for this departure during the year.

2.02.11 Other comprehensive income**IFRS:**

As per IAS 1 'Presentation of Financial Statements', other comprehensive income is a component of financial statements or the elements of other comprehensive income are to be included in a single Comprehensive Income (OCI) Statement.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements which will strictly be followed by all financial institutions. The templates of financial statements issued by Bangladesh Bank do not include other comprehensive income; and the elements of other comprehensive income are also not allowed to be included in a single Other Comprehensive Income (OCI) Statement. As such the company does not prepare the other statement of comprehensive income. However elements of OCI, if any, are shown in the Statement of Changes in Equity.

There is no financial impact for this departure during the year.

2.02.12 Loans and advances net of provision

IFRS:

As per IFRS 9, Loans and advances should be presented as net of provision.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, provision on loans and advances are presented separately as liability and cannot be netted off against loans and advances.

There is no financial impact for this departure during the year.

2.02.13 Recognition of interest in suspense

IFRS:

Loans and advances to customers are generally classified at amortised cost as per IFRS 9 and interest income is recognised in profit and loss account by using the effective interest rate method to the gross carrying amount over the term of the loan. Once a loan subsequently become credit-impaired, the entity shall apply the effective interest rate to the amortised cost of these loans and advances.

Bangladesh Bank:

As per FID circular no. 8 dated 3 August 2002, once a loan is classified as impaired, interest on such loans are not allowed to be recognised as income, rather the corresponding amount needs to be credited to an interest in suspense account, which is presented as liability in the balance sheet.

Charging of interest on impaired assets is not fully aligned with IAS/IFRS.

2.03 Components of the financial statements

The financial statements comprise of (As per DFIM circular No. 11, Dated 23 December 2009):

- a) Balance Sheet as at 31 December 2021;
- b) Profit and Loss Account for the year ended 31 December 2021;
- c) Statement of Cash Flows for the year ended 31 December 2021;
- d) Statement of Changes in Equity for the year ended 31 December 2021;
- e) Liquidity Statement as at 31 December 2021 and
- f) Notes to the Financial Statements for the year ended 31 December 2021.

2.04 Use of estimates & judgments

The preparation of the financial statements of the company in conformity with Bangladesh Bank Circulars and IFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amount of assets, liabilities, income and expenses. Actual result may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future period affected.

Information about significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect for the year ended 31 December 2021 is included in the following notes:

- a) Note 9.2 Deferred tax assets;
- b) Note 13.1 Provision for Income tax;
- c) Note 13.3 Deferred tax liabilities;
- d) Note 13.4 Employee benefit liabilities (provision for gratuity);
- e) Note 13.5 Provision for lease, loans, advances, investment, and others;
- f) Note 18.1 Letter of guarantee (contingent liabilities);
- g) Note 32 Depreciation and repairs of company's assets.

2.05 Going Concern

The Company has adequate resources to continue its operation for the foreseeable future. For this reason, the directors continue to adopt a going concern basis in preparing the financial statements. The Company's current credit facilities and resources provide sufficient funds to meet the current requirements of its existing businesses and operations.

The outbreak of COVID-19 across the world has resulted in disruptions in business activities everywhere. COVID-19 poses existential threats to a business's ability to survive, which in turn have significant financial reporting impacts from going concerned and liquidity to recoverability and valuation of assets.

However, the COVID-19 virus can evolve in various directions. If society, and as a consequence business, is exposed to COVID-19 for a longer period, this may result in prolonged negative results and pressure on our liquidity and profitability. However, the Company has taken and will take various measures to keep the Company's going concern status.

Response to address the COVID-19 effects:

- a) This includes ensuring adequate safety and health measures for the employees like social distancing and working from home to ensure the safety of the employees;
- b) Prudent balance sheet and cash management to ensure enough liquidity to manage all obligations;
- c) Introducing and implementing contingency plans for liquidity and putting into controls for regular monitoring;
- d) Effective cost control measures are already in place to combat the unprecedented situation;

Furthermore, the management continuously monitors the Company's key ratios and is confident enough to undertake all crisis management and business continuity measures. The Company's management has performed an extensive analysis on the possible impact and has responded through adequate measures mitigating possible impacts. By conducting a stringent review and assessing the levels of facilities expected to be available to the Company, the management strongly believes that the BIFFL has adequate resources for at least 12 months from the date of authorized for issue of the financial statements.

So, based on the facts and circumstances known at this moment, the management believes there is no material uncertainty that may cast any doubt upon the Company's ability to continue as a going concern.

2.06 Materiality and aggregation

Each material item considered by management as significant has been presented separately in the financial statements. No amount has been set off unless the Company has a legal right to set off the amounts and intends to settle on net basis. Income and expenses are presented on a net basis only when permitted by the relevant accounting standards.

2.07 Consistency

In accordance with the IFRS framework for the presentation of Financial Statements together with IAS 1 'Presentation of Financial Statements' and IAS 8 'Accounting Policies, Changes in Accounting Estimates and Errors', BIFFL applies the accounting disclosures and principles consistently from one period to the next. Where selecting and applying new accounting policies, changes in accounting policies applied, correction of errors, the amounts involved are accounted for and disclosed in accordance with the requirement of IAS 8.

2.08 Reporting period

The financial period of the Company was determined from 1 January to 31 December and followed consistently. These financial statements cover one year starting from 1 January 2021 to 31 December 2021.

2.09 Functional and presentation currency

The figures of the Financial Statements are presented in Bangladesh Taka (BDT/Taka/Tk.) which is Company's functional currency. All financial Information presented in Taka has been rounded off to the nearest integer except otherwise indicated.

2.10 Assets and basis of their valuation

2.10.01 Cash and cash equivalents

Cash and cash equivalents comprises cash in hand, balance with Bangladesh Bank, cash at bank, term deposits, money at call and short notice that are readily convertible to a known amount of cash and that are subject to an insignificant risk of change in value. Cash and cash equivalents are shown as per DFIM circular no. 11 dated 23 December 2009.

2.10.02 Investment in securities

Investment in non-marketable shares have been shown at cost. The Company has no investment in marketable securities.

Provision for investment

BIFFL maintains provision on the outstanding balance of investment following the classification as reported in FICL submitted to Bangladesh Bank on quarterly basis.

2.10.03 Loans, advances and provisions

Loans and advances are stated at gross amount. General provisions on unclassified loans, specific provisions for classified loans and interest suspense account thereon are shown under other liabilities. Provision is made on the basis of quarter end against classified loans and advances reviewed by the management and instructions given in FID circular no. 08 dated 3 August 2002 and FID circular no. 03 dated 03 May 2006.

Interest on loans and advances

Interest is calculated on a daily product basis and is recognized as revenue on accrual basis. However, interest income under category of classified and Special Mention Account (SMA) account is not recognised as income but credited to interest suspense account as per Bangladesh Bank circulars and directives. In addition to above interest due on standard loans are also transferred to suspense accounts on judgmental basis. No interest is charged on bad and loss loans as per guidelines of Bangladesh Bank.

Provision for loans and advances

Provision for loans, advances and investments is an estimate of the losses that may be sustained in the investment portfolio. The methodology for measuring the appropriate level of the provision relies on several key elements, which include both quantitative and qualitative factors as set forth in the Bangladesh Bank guidelines. Provision for loans and advances are made on quarter basis as per the instructions given in FID circular no. 08 dated 03 August 2002, FID circular no. 03 dated 03 May 2006, FID circular no. 03 dated 29 April 2013, DFIM circular no. 04 dated 26 July 2021 and DFIM Circular no. 33 dated 19 December 2021 of Bangladesh Bank.

Rate of provision

General Provision on unclassified loans and advances and specific provision on classified loans & advances are made as per below rate:

Particulars	Rate
Standard-other than SME	1%
Standard-SME	0.25%
Special mention account (SMA)	5%
Sub-standard (SS)	20%
Doubtful (DF)	50%
Bad/loss (BL)	100%

Presentation of loans and advances

Loans and advances are shown at gross amount as assets while interest suspense and loan loss provision against classified advances are shown as liabilities in the Balance Sheet.

Write off loans and advances

Loans and advances/investments are written off as per guidelines of Bangladesh Bank. Those written off however will not undermine/affect the claim amount against the borrower. Detailed memorandum records for all such written off accounts are meticulously maintained and followed up.

2.10.04 Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation. The cost of an asset comprises its purchase price and any directly attributable costs associated with bringing the assets to its working condition for its intended use as per IAS 16 'Property, Plant and Equipment'.

Subsequent expenditure on property, plant and equipment

Subsequent expenditure is capitalized only when it increases the future economic benefits from the assets. All other expenditures are recognized as an expense as and when they are incurred.

Depreciation on property, plant & equipment

Depreciation on fixed assets is charged consistently on straight-line method at following rates throughout the estimated useful life of the assets. Depreciation method, useful lives and residual values are reviewed at each reporting date. The depreciation on newly acquired assets is charged from the date of acquisition.

Category of Fixed assets	Rate of Depreciation
Land & land development	0%
Computer & IT equipment	33%
Office equipment	20%
Furniture & fixtures	10%
Motor vehicles	20%
Building	2.5%*
Electronics	12.5%
Civil construction	50%
Websites & software	50%

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sale proceeds and the carrying amount of the concerned asset and is recognised accordingly in the Profit or Loss Account.

*Up to 2020, the Company has considered depreciation of @10% per year in the case of Building. As expectations differ from previous estimates regarding the useful life of the Building (Floor Space), the Company has taken an opinion from an external expert regarding changing the estimate relating to depreciation. The external expert suggested considering the useful life of the Building between 40 to 50 years. Accordingly, the Board of Directors approved the useful life of the Building as 45 years (from 2016). The Company is considering the depreciation of @2.5% for the remaining 40 years on the WDV of 31 December 2020, amounting to BDT 164,154,821 (BDT 291,527,555 – BDT 127,372,734). Due to this change in estimation of useful life, the depreciation charge in 2021 for the Building was decreased by BDT 21,864,567 compared to the previous year (2020).

Impairment

The carrying amount of the entity's non financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the asset's recoverable amount is estimated. However, no such conditions that might be suggestive of a heightened risk of impairment existed at the reporting date.

2.10.05 Intangible assets

An intangible asset is recognised if it is probable that future economic benefits that are attributable to the asset will flow to the Company over a period of time and the cost of the asset can be measured reliably as per IAS 38 'Intangible Assets'. Intangible assets acquired separately are recorded on initial recognition at costs and are carried at cost less accumulated amortisation and accumulated impairment losses, if any.

Subsequent expenditure on intangible assets

Subsequent expenditure on intangible asset is capitalised only when it increases the future economic benefit from the assets. All other expenditures are recognised as expense as and when they are incurred.

Amortisation of intangible assets

Intangible assets are amortized on straight line basis to the profit and loss account from the date when the asset is available for use over its estimated useful life as follows:

Items of intangible Assets

Computer software

Estimate useful life

2 years

2.10.06 Other assets

Other assets include all other financial assets and fees and unrealised income receivable, advance for operating and capital expenditure and stocks of stationery and stamps. Details are shown in Note-9. Receivables are recognised when there is a contractual right to receive cash or another financial assets from another entity.

2.10.07 Non-banking assets

Non-banking assets are acquired on account of the failure of a borrower to repay the loan in time after receiving the decree from the court regarding the right and title of the mortgage property. There are no assets acquired in exchange for loan during the period of financial statements.

2.11 Basis for valuation of liabilities and provisions

2.11.01 Provision for tax

a. Current tax

Provision for current tax has been made on the basis of the profit of the year as adjusted for taxation purpose in accordance with the provisions of Income Tax Ordinance, 1984 and amendments made thereto from time to time. The Company's current tax liability is calculated using applicable tax rate on the reporting date, and any adjustments to tax payable in respect of previous years.

b. Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

- Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
- Temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future; and
- Taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be used. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available against which they can be used.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date. The measurement of deferred tax reflects the tax consequences that would follow the manner in which the Company expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities. For this purpose, the carrying amount of investment property measured at fair value is presumed to be recovered through sale, and the Company has not rebutted this presumption.

2.11.02 Employees' benefit obligation

Defined contribution plan

The Company operates a contributory provident fund scheme for its permanent employees. Provident Fund is administered by a Board of Trustees and is funded by contributions equally from the permanent employees and from the Company @ 10% of basic salary of the employees. The contributions are invested to ensure optimum return to the employees.

Defined benefit plan

The Company operates a funded gratuity scheme for its permanent employees.

Short term benefit

Short-term employee benefit (salary, bonus etc.) obligations are measured on an undiscounted basis and are expensed as the related service is provided.

Other employee benefit obligation

The Company operates a group life insurance and hospitalisation insurance schemes for its permanent employees.

Workers profit participation and welfare fund (WPPF)

Establishment of Workers' Profit Participation and Welfare Fund (WPPF) is a matter of Banking and Financial Institutions Sector as a whole. Ministry of Finance through its letters no. 53.00.0000.311.22.002.17-130 dated February 14, 2017 and no. 53.00.0000.311.22.002.17-140 dated February 25, 2018 expressed its opinion that Chapter 15 on "Participation in Company Profits by Workers" in the Bangladesh Labor Act 2006 and amendments made therein on July 22, 2013 should not be applicable for Banks and Financial Institutions and requested to the Ministry of Labor and Employment to take necessary steps in this regard as well as not to apply the said chapter of Labor Act 2006 for Banks and Financial Institutions. Therefore, like other Banks and Financial Institutions, BIFFL did not recognize the WPPF.

2.11.03 Accrued expenses, provisions and payables

Liabilities are recognised for goods and services received, whether paid or not, for those goods and services. Payables are not interest bearing and are stated at their actual value.

Provisions and accrued expenses are recognised in the financial statements when the Company has a legal or constructive obligation as a result of past event and it is probable that an outflow of economic benefit will be probable to settle the obligation and a reliable estimate can be made of the amount of the obligation.

2.12 Capital and shareholders' equity

2.12.01 Capital management

The Company has a capital management process for measuring, deploying and monitoring its available capital and assessing its adequacy. This capital management process aims to achieve four major objectives; exceed regulatory thresholds and meet long-term internal capital targets, maintain strong credit rating, manage capital levels commensurate with the risk profile of the Company and provide the Company's shareholders with acceptable returns.

Capital is managed in accordance with the board approved capital management planning from time to time. Senior management develops the capital strategy and oversees the capital management planning of the Company. The company's finance and risk management department are key to implementing the Company's capital strategy and managing capital. Capital is managed using both regulatory control measures and internal matrices.

2.12.02 Paid up capital

Paid up share capital represents total amount of shareholder capital that has been paid in full by the Government of Bangladesh i.e. ordinary shareholder. In the event of winding-up of the company ordinary shareholder(s) rank after all other shareholders and creditors are fully entitled to any residual proceeds of liquidation.

2.12.03 Statutory reserve

As per Financial Institution Regulations, 1994, Non-Bank Financial Institutions (NBFIs) are required to transfer 20% of its post tax profit to statutory reserve before declaration of dividend. This requirement has been properly complied with.

2.12.04 Dividends payment

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company's shareholders.

2.13 Earnings per share

The Company presents basic and diluted EPS data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss that is attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss that is attributable to ordinary shareholders and the weighted-average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, if any.

2.14 Contingent assets & liabilities

Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or Any present obligation that arises from past events but is not recognised because:

- a) it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
- b) the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not recognised but disclosed in the financial statements unless the possibility of an outflow of resources embodying economic benefits can reliably be estimated.

Contingent assets are not recognised in the financial statements as this may result in the recognition of income which may never be realised.

2.15 Director's responsibility statement

The Board of Directors is responsible for the presentation of the financial statements under section 183 of the Companies Act, 1994 and as per the provision of 'The Framework for the Preparation and Presentation of Financial Statements'.

2.16 Related party disclosure

As per IAS 24 Related Party Disclosures, parties are considered to be related if one of the parties has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions. The Company carried out transactions in the ordinary course of business on an arm's length basis at commercial rates with related parties.

2.17 Litigation

The Company is not a party to any material law suits except those arising in the normal course of business. The Company has filed necessary law suits against some of the default clients for non-performance in repayment of investment. The Company, however, has made adequate provision against such doubtful finances.

2.18 Borrowings from other banks, financial institutions and agents

Borrowings include short term and long term borrowings from banks and non-bank financial institutions. These are stated at amounts outstanding on the reporting date. Interest expense on these borrowings is charged to the profit and loss account on accrual basis.

2.19 Liquidity statement

The liquidity statement has been prepared in accordance with remaining maturity grouping of assets and liabilities as of the close of the reporting period as per following bases:

- Balance with other Company's and financial institutions are on the basis of their maturity term;
- Investments are on the basis of their residual maturity term;
- Loans and advances are on the basis of their repayment /maturity schedule;
- Property, plant and equipment are on the basis of their useful lives;
- Other assets are on the basis of their adjustments terms;
- Borrowings from other Companies and financial institutions are on the basis of their maturity/repayment
- Deposits and other accounts are on the basis of their maturity terms and past behavioral trends;
- Other liabilities are on the basis of their settlement terms.

2.20 Events after the reporting period

Events after the reporting period that provide additional information about the Company's position at the statement of financial position date are reflected in the financial statements in Note no. 47 as per IAS 10 'Events after the reporting period'.

2.21 Comparatives and reclassification

Comparative information have been disclosed in respect of 2020 for all numerical information in the financial statements and also the narrative and descriptive information when it is relevant for understanding of the current period's financial statements.

To facilitate comparison, certain relevant balances pertaining to the comparatives have been rearranged /restated /reclassified whenever considered necessary to conform to current period's presentation.

2.22 Compliance Report on International Accounting Standards (IASs) and International Financial

Sl. No.	IFRS/IAS No.	Name of the IFRS/IAS	Status
1	IFRS-1	First Time adoption of IFRS	Not Applicable
2	IFRS-2	Share based payment	Not Applicable
3	IFRS-3	Business combinations	Not Applicable
4	IFRS-4	Insurance contracts	Not Applicable
5	IFRS-5	Non-current assets held for sales and discontinued operations	Not Applied**
6	IFRS-6	Exploration for and evaluation of mineral resources	Not Applicable
7	IFRS-7	Financial instruments disclosures	Applied*
8	IFRS-8	Operating segments	Not Applicable
9	IFRS-9	Financial instruments	Applied*
10	IFRS-10	Consolidated financial statements	Not Applicable
11	IFRS-11	Joint arrangements	Not Applicable
12	IFRS-12	Disclosure of interest in other entities	Not Applicable
13	IFRS-13	Fair value measurement	Applied
14	IFRS-14	Regulatory Deferral Accounts	Not Applicable
15	IFRS-15	Revenue from contracts with customers	Applied*
16	IFRS-16	Leases	Not Applicable
17	IFRS-17	Insurance Contracts	Not applicable
18	IAS-1	Presentation of financial statements	Applied*
19	IAS-2	Inventories	Not Applicable
20	IAS-7	Cash flow statements	Applied*
21	IAS-8	Accounting policies, changes in accounting estimates and errors	Not Applied**
22	IAS-10	Events after the reporting period	Applied
23	IAS-12	Income taxes	Applied
24	IAS-16	Property, plant and equipment	Applied
25	IAS-19	Employee benefits	Applied
26	IAS-20	Accounting for government grants and disclosure of government assistance	Not Applicable**
27	IAS-21	The effects of changes in foreign exchange rates	Not Applicable**
28	IAS-23	Borrowing costs	Not Applicable**
29	IAS-24	Related party disclosures	Applied
30	IAS-26	Accounting and reporting by retirement benefit plans	Not Applicable
31	IAS-27	Consolidated and separate financial statements	Not Applicable
32	IAS-28	Investments in associates	Not Applicable
33	IAS-31	Interest in joint ventures	Not Applicable
34	IAS-32	Financial instruments: presentation	Applied*
35	IAS-33	Earnings per share	Applied
36	IAS-34	Interim financial reporting	Applied
37	IAS-36	Impairment of assets	Applied*
38	IAS-37	Provision, contingent liabilities and contingent assets	Applied*
39	IAS-38	Intangible assets	Applied
40	IAS-40	Investment property	Not Applicable
41	IAS-41	Agriculture	Not Applicable

*As the regulatory requirements differ with the standards, relevant disclosures have been made in accordance with Bangladesh Bank's requirements.

** Applicable but not applied in the reporting period as no relevant transactions were available.

2.23 Capital adequacy and market discipline

To cope with the international best practices and to make up the capital more risk sensitive as well as more shock resilient, a road map was issued in August 2010 on implementation of Basel Accord in the FIs. Being well pursuant with the road map, prudential guidelines namely 'Capital Adequacy and Market Discipline for Financial Institutions' had been introduced by Bangladesh Bank from December 2011. The guidelines came into force from 1 January 2012 with necessary supplements/revisions. Instructions in respect of Minimum Capital Requirement, Adequate Capital and Disclosures requirement as stated in the guidelines have been followed for the purpose of statutory compliance.

As per prudential guideline, BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I.

Pillar- 1: Minimum capital requirement

Credit Risk

The calculation of capital requirement against credit risk is more elaborate and risk sensitive. The accord gives a choice of some sophisticated approaches to address risks, and adoption of a particular approach depends on the risk measurement capabilities and robustness of the systems in place in a financial institution. A standardized approach has been the preliminary choice of FIs for the credit risk calculation.

Market risk

Market risk is defined as the risk of losses in on and off-balance-sheet positions arising from movements in market prices. The risks subject to this requirement are:

- the risks pertaining to interest rate related instruments and equities in the trading book;
- foreign exchange risk and commodities risk throughout the FI.

The capital charges for interest rate related instruments and equities applied to the current trading book items prudently valued by BIFFL. The capital charges for foreign exchange risk and for commodities risk applied to BIFFL's total currency and commodity positions, subject to some discretion to exclude structural foreign exchange positions.

Operational risk

The accord introduces for the first time a capital charge for operational risk. The framework presents three methods for calculating operational risk capital charges in a continuum of increasing complexity and risk sensitivity. These methods are the Basic Indicator Approach (a fixed percentage of gross income amount), Standardized Approach (sum of a certain percentage of FI's income in each business line) and Internal Measurement Approach (statistical measure of FIs operational loss based on its historical loss data). But initially, Basic Indicator Approach has been applied for calculating the capital charge against operational risk.

2.24 Stress testing

Stress Testing is an important risk management tool that is used by the financial institutions as part of internal risk management and through the Basel II capital adequacy framework, is promoted by Bangladesh Bank. Stress Testing alerts Financial Institutions management to adverse unexpected outcomes related to a variety of risks and provides an indication of how much capital might be needed to absorb losses should large shock occur. Stress Testing supplements other risk management approaches and measures playing particularly important role in:

- i. Providing forward-looking assessment of risk;
- ii. Overcoming limitations of models and historical data;
- iii. Supporting external and internal communication;
- iv. Feeding into capital and liquidity planning procedures;
- v. Informing the setting of an FI's risk tolerance; and

- vi. Facilitating the development of risk mitigation or contingency plans across a range of stressed conditions.

Stress Testing guidelines have been issued by Bangladesh Bank to provide a structured way of assessing the vulnerability of financial institutions to extreme but plausible market conditions. The guidelines enable institutions to accurately assess risk and define the "risk appetite" of the organization and also provide critical information to senior management for decision around capital allocation and contingency planning.

BIFFL exercise stress testing on its portfolio on quarterly basis and submit its stress testing report as per format prescribed by Bangladesh Bank on regular basis.

2.25 IT systems and control

Information Technology forms an integral part of the NBFIs Corporate Governance. It deals primarily with optimizing the linkage between Strategic Direction and Information Systems Management of the Company. In this regard, implementation of the organizational structure with well-defined roles for the responsibility of information, business processes, applications, infrastructure, etc. generates value for our stakeholders while mitigating the risks associated with incorrect deployment and use of Information Technology. IT and MIS department constantly working towards the development and implementation of new technologies to enable the organization to meet future market demand.

2.26 Prevention of money laundering

In recognition of the fact that financial institutions are particularly vulnerable to money laundering, BIFFL has established an Anti Money Laundering Policy. The purpose of this policy is to provide a guideline to comply with all laws and regulations regarding money laundering, both at country and international levels, to safeguard the Company from potential compliance, financial and reputational risks. Further, Know Your Customer (KYC) procedures have been set up for the borrowers. Training is also given as a continuous process for creating/developing awareness among the relevant officers. As per the regulatory obligation, the Chief Executive Officer (CEO) of the Company clearly and effectively declares BOFFL's stance to prohibit anti money laundering and financing for terrorism each year. The declaration of CEO also includes necessary operational guidelines to implement the same.

2.27 Legal & regulatory compliance

The Company's procedures are in place to ensure compliance with mandatory Bangladesh Bank's instructions and the statutory requirements are under close scrutiny. The Company monitors due compliance with all relevant laws & regulations. The system of internal controls, including financial, operational and compliance controls and risk management systems, are maintained by the Company's management and that was in place throughout the financial year and up to and as of the date of this report, is adequate to meet the needs of current business environment and to comply with the legal & regulatory requirements.

3 Cash

Cash in hand (Note- 3.1)
Balance with Bangladesh Bank and its agent bank(s) (Note- 3.2)

Amount in Taka	
31-Dec-21	31-Dec-20
94,713	89,501
15,198,767	1,597,259
15,293,480	1,686,760

3.1 Cash in hand

In local currency
In foreign currency

94,713	89,501
-	-
94,713	89,501

3.2 Balance with Bangladesh Bank and its agent bank(s)

Balance with Bangladesh Bank
In foreign currency

15,198,767	1,597,259
-	-
15,198,767	1,597,259

3.3 Balance with Bangladesh Bank

Balance with Bangladesh Bank is non-interest bearing and maintained to meet the Cash Reserve Requirement (CRR). CRR (note- 3.4) and Statutory Liquidity Reserve (note- 3.5) which have been calculated and maintained in accordance with Financial Regulations 1994 and FID circular no. 06 dated 6 November 2003 and FID circular no. 02 dated 10 November 2004.

3.4 Cash Reserve Requirement (CRR)

CRR is calculated at the rate of 1.5% on total term deposits which is preserved in current account maintained with Bangladesh Bank in compliance with FID circular no. 6 dated 6 November 2003, FID circular no. 02 dated 10 November 2004 and DFIM circular no. 03 dated 21 June 2020. Total term deposits mean term or fixed deposits, security deposit against lease/loan and other term deposits received from individuals and institutions (except banks and financial institutions).

Required reserve
Actual reserve held (Balance with BB)
Surplus/(Deficit)

-	-
15,198,767	1,597,259
15,198,767	1,597,259

3.5 Statutory Liquidity Reserve (SLR)

SLR has been calculated at the rate of 2.5% of total liabilities less borrowing from other banks & FIs and Bangladesh Bank. SLR is maintained in liquid assets in the form of cash in hand, balance with Bangladesh Bank, balance with other banks & financial institutions, investment at call, unencumbered treasury bills, prize bond, savings certificates & any other assets approved by Bangladesh Bank.

Required reserve
Actual reserve held
Surplus/(Deficit)

408,889,783	306,395,858
18,851,864,183	12,513,770,953
18,442,974,400	12,207,375,095

4 Balance with other banks and financial institutions

Inside Bangladesh

Current accounts (Note- 4.1)
Short noticed deposit accounts (Note- 4.2)
Fixed deposit accounts (Note- 4.3)

4,901	2,281
12,606,935,978	6,147,232,696
6,229,629,824	6,364,849,216
18,836,570,703	12,512,084,193

Outside Bangladesh

-	-
18,836,570,703	12,512,084,193

The company does not maintain any account outside Bangladesh.

4.1 Current account

Dutch Bangla Bank Ltd.
Uttara Bank Ltd.

3,735	425
1,166	1,856
4,901	2,281

4.2 Short noticed deposit account

United Commercial Bank Ltd.
Shahjalal Islami Bank Ltd.
Sonali Bank Ltd.
Aqrani Bank Ltd.

Amount in Taka	
31-Dec-21	31-Dec-20
2,104	769
-	-
920,926	1,081,076,702
12,606,012,948	5,066,155,225
12,606,935,978	6,147,232,696

4.3 Fixed deposit accounts

BD Finance and Investment Ltd.
Bangladesh Industrial Finance Company (BIFC) Ltd.
Fareast Finance and Investment Ltd.
Padma Bank Ltd.
FAS Finance and Investment Ltd.
First Finance Ltd.
ICB Islamic Bank Ltd.
International Leasing and Financial Services Ltd.
Meridian Finance and Investment Ltd.
Peoples Leasing and Financial Services Ltd.
Premier Leasing and Finance Ltd.
Prime Finance and Investment Ltd.
Aviva Finance Ltd. (Reliance Finance Ltd.)
Union Capital Ltd.

-	48,400,000
680,574,517	637,644,021
386,170,121	368,055,311
1,020,000,000	1,090,395,157
698,864,573	659,149,870
217,000,000	217,842,133
302,780,072	402,753,072
917,832,456	864,973,478
325,000,000	350,000,000
607,090,552	607,090,552
318,663,149	305,891,995
248,000,000	253,375,000
70,000,000	145,000,000
437,654,385	414,278,627
6,229,629,824	6,364,849,216

BIFFL maintained FDR accounts with different Banks and NBFIs licensed by Bangladesh Bank. However, due to the current market liquidity position and covid pandemic situation, some NBFIs have been facing difficulties to pay back the due amount on maturity. Nonetheless, BIFFL is pursuing the recovery drive continuously and has recovered significant amount from different Banks and NBFIs, and strong persuasion to recover the total fund is still continued. As BIFFL is wholly owned by the GoB, there is minimum chance of not being able to recover against this investments. The Board of Directors of BIFFL is also monitoring this issue from their position to recover the whole FDR amount. Besides that to build resilience against the economy and market shock, BIFFL has decided to build some provision against these FDRs.

In addition, Bangladesh Bank vide letter no. FIID(1-6/02)/2022-195 dated 24 February 2022 has given their consent to finalize the financial statements of BIFFL with the present provision status against FDR accounts and advised to build up the provision gradually.

4.4 Maturity grouping of balance with banks and other financial institutions

On demand
Up to 1 month
Over 1 month but not more than 3 months
Over 3 months but not more than 1 year
Over 1 year but not more than 5 years
Over 5 years

4,901	2,281
12,991,935,978	6,849,142,317
1,580,780,073	2,588,189,679
973,317,534	-
3,290,532,217	3,074,749,917
-	-
18,836,570,703	12,512,084,193

5 Money at call and short notice

FAS Finance & Investment Ltd.

26,900,000	26,900,000
26,900,000	26,900,000

6 Investments

Investment classified as per nature:
Government bond (Note- 6.1)
Other investments (Note- 6.2)

-	-
2,591,151,513	3,169,028,755
2,591,151,513	3,169,028,755

6.1 Government bond

Treasury bills
National investment bonds
Bangladesh Bank bills
Government notes/bonds
Others

-	-
-	-
-	-
-	-
-	-

BIFFL has no investment in government bond.



6.2 Other investments

Investment in preference share (Note- 6.2.1)
Investment in commercial paper (Note- 6.2.2)
Investment in bond (Note- 6.2.3)

Amount in Taka	
31-Dec-21	31-Dec-20

1,341,151,513	1,850,121,210
250,000,000	250,000,000
1,000,000,000	1,068,907,546
2,591,151,513	3,169,028,755

6.2.1 Investment in preference Share

Rajlanka Power Company Ltd.
Doreen Power House & Technologies Ltd.
Ace Alliance Power Ltd.
Kushiara Power Company Ltd.
Bhairab Power Ltd.
Zodiac Power Chittagong Ltd.
Summit Gazipur II Power Ltd.

48,484,847	145,454,543
320,000,000	400,000,000
233,333,333	291,666,667
456,000,000	513,000,000
200,000,000	200,000,000
-	200,000,000
83,333,333	100,000,000
1,341,151,513	1,850,121,210

6.2.2 Investment in commercial paper

Computer Source Ltd.

250,000,000	250,000,000
250,000,000	250,000,000

6.2.3 Investment in bond

IDLC zero coupon bond
Ashuqanj Power Station Company Ltd.

-	68,907,546
1,000,000,000	1,000,000,000
1,000,000,000	1,068,907,546

6.2.4 Residual maturity grouping of investments

Up to 1 month
Over 1 month but not more than 3 months
Over 3 months but not more than 1 year
Over 1 year but not more than 5 years
Over 5 years

-	20,000,000
47,989,041	79,371,761
558,056,880	368,505,480
1,650,000,000	2,406,484,847
335,105,593	294,666,667
2,591,151,513	3,169,028,755

7 Leases, loans and advances

a) Inside Bangladesh

Leases (Note- 7.1)
Loans
Cash credits
Overdrafts
Sub-total

-	-
16,394,424,310	18,363,380,418
-	-
-	-
16,394,424,310	18,363,380,418

b) Outside Bangladesh

Total

-	-
16,394,424,310	18,363,380,418

7.1 Leases

7.2 Sector wise leases, loans and advances

Public sector
Co-operative sector
Private sector

3,024,161,916	3,967,651,794
-	-
13,370,262,394	14,395,728,624
16,394,424,310	18,363,380,418

7.3 Residual maturity grouping of leases, loans and advances

On demand
Up to 1 month
Over 1 month but not more than 3 months
Over 3 months but not more than 1 year
Over 1 year but not more than 5 years
Over 5 years

-	-
35,794,301	224,958,511
1,206,066,934	1,290,988,000
3,348,214,077	2,523,601,718
9,801,687,724	8,921,766,637
2,002,661,274	5,402,065,552
16,394,424,310	18,363,380,418

7.4 Leases, loans and advances on the basis of significant concentration

Amount in Taka		
	31-Dec-21	31-Dec-20
a. Leases, loans and advances to Directors and organizations related to Directors (fully secured)	-	-
b. Leases, loans and advances to Chief Executive Officer and other senior executives	15,855,757	17,562,772
c. Leases, loans and advances to customer groups	-	-
Large infrastructure projects	10,100,306,179	12,015,181,175
Sustainable and eco-friendly projects	6,254,742,954	6,297,549,198
SME- Women entrepreneurs	23,519,419	33,087,274
	16,394,424,310	18,363,380,418
d. Leases, loans and advances on sector basis:		
i) Textiles	991,151,874	14,878,345
ii) Garments and accessories	1,658,973,560	3,042,960,097
iii) Transport (including marine transport)	2,291,673,419	2,573,528,755
iv) Chemicals and pharmaceuticals	-	-
v) Iron, steel and engineering	1,394,938,046	1,561,468,924
vi) Agricultural equipment and agro industries	2,618,016	-
vii) Power and energy	2,515,789,558	3,132,893,944
viii) Electronics and electrical	207,100,196	255,814,404
ix) Information technology (IT)	301,898,691	192,731
x) Paper printing and packaging	-	-
xi) Plastic	250,593,226	125,472,391
xii) Real estate and housing	-	-
xiii) Food and beverage	329,869	4,128,167
xiv) Glass and ceramics	2,399,455,307	2,168,226,739
xv) Services	1,194,151,262	1,206,784,552
xvi) Others	3,185,751,286	4,277,031,369
	16,394,424,310	18,363,380,418

7.5 Leases, loans and advances on geographical basis
Inside Bangladesh
Urban

Dhaka Division	3,091,565,065	2,977,297,664
Chattogram Division	300,343,854	273,673,229
Khulna Division	-	-
Rajshahi Division	-	-
Barishal Division	-	-
Sylhet Division	-	-
Rangpur Division	-	-
Mymensingh Division	-	-
Sub-total	3,391,908,919	3,250,970,893

Rural

Dhaka Division	5,024,617,122	4,549,563,143
Chattogram Division	5,842,735,123	7,974,033,225
Khulna Division	2,451,921	3,485,836
Rajshahi Division	143,873,561	170,347,466
Barishal Division	111,325,962	52,954,396
Sylhet Division	1,593,238,672	2,202,093,165
Rangpur Division	36,184,127	38,886,469
Mymensingh Division	248,088,903	121,045,825
Sub-total	13,002,515,392	15,112,409,525

Outside Bangladesh

Total	16,394,424,310	18,363,380,418
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7.6 Classification of leases, loans and advances

Amount in Taka	
31-Dec-21	31-Dec-20
Unclassified	
Standard (STD)	
Special mention account (SMA)	
Sub-total	
Classified	
Sub-standard (SS)	
Doubtful (DF)	
Bad/Loss (BL)	
Sub-total	
Total	

7.7 Particulars of loans, advances and leases

i) Loan considered good in respect of which the FI is fully secured	13,073,981,754	7,672,751,695
ii) Loan considered good for which the FI holds no other security than the debtor's personal security	526,479,434	3,404,303,899
iii) Loan considered good and secured by the personal security of one or more parties in addition to the personal security of the debtors	2,793,963,122	7,286,324,824
iv) Loan adversely classified; for which no provision is created	-	-
Total	16,394,424,310	18,363,380,418
v) Loan due by directors or officers of the FI or any of them either jointly or separately with any other persons	15,855,759	15,328,299
vi) Loan due by companies and firms in which the directors of the FI have interests as directors, partners or managing agent or in case of private companies as members	-	-
vii) Maximum total amount of advances, including temporary advances made at any time during the period to directors and managers or officers of the FI or any of them either severally or jointly with any other persons	-	-
viii) Maximum total amount of advances, including temporary advances granted during the period to the companies or firms in which the directors of the FI have interests as directors, partners or managing agents or, in case of private companies as members	-	-
ix) Due from other bank/FI companies	-	-
x) Information in respect of classified loans and advances:	-	-
a) Classified loans for which interest/ profit not credited to income	2,458,735,277	285,741,510
b) Amount of provision kept against loans classified as bad/loss as at the balance sheet date	-	-
c) Amount of interest credited to the interest suspense account	748,301,939	690,340,593
xi) Cumulative amount of written off loans:		
Opening balance	-	-
Amount written off during the period	-	-
Amount received from written off during the period	-	-
Balance of written off loans and advances yet to be recovered	-	-
The amount of written off loans for which law suits have been filed.	-	-

7.8 Bills purchased and discounted

Payable inside Bangladesh	-	-
Payable outside Bangladesh	-	-

BIFFL has no bills purchased and discounted.

7.9 Disclosures on collection of audited financial statements as per FRC circular

With reference to DFIM Circular no:-08 dated 17 August 2021 and FRC letter Ref. no-178/FRC/APR/2021/28(4) dated 22 December 2021, Bangladesh Infrastructure Finance Fund Limited obtained audited financial statements for 100% of loans and advances disbursed/sanctioned to public interest entity on or after 17 August 2021 to 31 December 2021.

8 Fixed Assets

Fixed assets including premises, furniture and fixtures (Note- 8.1)
Capital work in progress (Note- 8.2)

8.1 Fixed assets including premises, furniture and fixtures

Cost

Opening balance
Addition during the period (Annexure-A)

Disposal/Adjustment during the period

Closing balance (A)

Accumulated Depreciation

Opening balance
Charged during the period

Adjustment for disposal during the period

Closing balance (B)

Written down value (A-B)

Details are in (Annexure -A)

Amount in Taka	
31-Dec-21	31-Dec-20

194,847,232	214,292,676
8,800,000	8,800,000
203,647,232	223,092,676

402,710,584	402,377,600
177,154	351,408
402,887,738	402,729,008
2,746,128	18,424
400,141,610	402,710,584
188,417,908	143,854,557
19,622,597	44,570,022
208,040,505	188,424,579
2,746,127	6,671
205,294,378	188,417,908
194,847,232	214,292,676

8.2 Capital work in progress

Opening balance
Addition during the year
Closing balance

8,800,000	8,800,000
-	-
8,800,000	8,800,000

9 Other assets

Advance income tax (Note- 9.1)
Interest receivables on FDR
Interest receivables on STL
Security deposit
Advance to suppliers
Deferred tax assets (Note- 9.2 and 13.3)
Advance to employees (Note:9.4)
Receivables against investment (Note- 9.3)

5,311,358,631	4,625,712,118
41,339,063	49,597,026
29,479	22,417
309,975	303,975
548,508	550,563
7,938,121	7,200,926
-	-
91,691,470	123,157,352
5,453,215,247	4,806,544,377

9.1 Advance income tax

Opening balance
Income tax deducted at sources
Paid during the period
Closing balance

4,625,712,118	3,844,024,544
145,178,914	98,133,200
540,467,600	683,554,373
5,311,358,631	4,625,712,118

9.1.1 Year to year breakdown of advance income tax payment

2014	1,137,841,620	1,137,841,620
2015	1,468,902,697	1,468,902,697
2016	816,773,044	816,773,044
2017	397,143,090	397,143,090
2018	619,980,669	619,980,669
2019	561,655,414	561,655,414
2020	781,687,573	781,687,573
2021	685,646,513	-
Adjustment in 2015	(1,158,271,990)	(1,158,271,990)
	5,311,358,631	4,625,712,118

9.2 Deferred tax assets

Opening balance
Deferred tax income /(expense) during the period

Tax deductible temporary difference

Gratuity payable

Applicable tax rate

Closing deferred tax assets

Amount in Taka	
31-Dec-21	31-Dec-20
1,155,212	443,512
2,625,600	711,700
3,780,812	1,155,212
9,452,030	2,888,030
40%	40%
3,780,812	1,155,212

9.3 Receivables against investment

Dividend receivable (Note- 9.3.1)
Interest receivable on commercial paper (Note- 9.3.2)
Interest receivable on zero coupon bond (Note- 9.3.3)

34,167,885	55,969,732
33,887,233	33,887,233
23,636,353	33,300,388
91,691,470	123,157,352

9.3.1 Receivables on preference share

Rajlanka Power Company Ltd.
Doreen Power House & Technologies Ltd.
Ace Alliance Power Ltd.
Kushiara Power Company Ltd.
Bhairab Power Ltd.
Zodiac Power Chittagong Ltd.
Summit Gazipur II Power Ltd.

1,741,471	4,063,429
11,246,918	7,333,333
1,063,210	1,598,173
13,242,740	14,898,082
4,790,213	3,956,166
-	21,600,000
2,083,333	2,520,548
34,167,885	55,969,732

9.3.2 Receivables on commercial paper

Computer Source Ltd.

33,887,233	33,887,233
33,887,233	33,887,233

9.3.3 Receivables on bond

IDLC Zero Coupon Bond
Ashuqani Power Station Company Ltd.

-	9,913,775
23,636,353	23,386,612
23,636,353	33,300,388

9.4 Advance to employees

Balance before re-arrangement
Less: Transfer to Leases, loans and advances
Closing balance

-	2,234,555
-	(2,234,555)
-	-

*Previously the Company has shown the advance to the employees against salary amounting to BDT 2,234,555 under Other Assets. However, from this year, advances to employees against salary are added with loans, leases and advances (notes #07) as per the direction of Bangladesh Bank (Ref.: FIID(I-6/02)/2022-195).

10 Non banking assets

-	-
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11 Borrowings from banks, other financial institutions and agents

Inside Bangladesh (Note- 11.1)
Outside Bangladesh (Note- 11.2)

634,040,160	711,076,787
6,499,246,513	4,133,237,119
7,133,286,673	4,844,313,906

11.1 Inside Bangladesh

Advance from BB Refinance Scheme

634,040,160	711,076,787
634,040,160	711,076,787

11.2 Outside Bangladesh

Borrowing from EECPPF JICA Loan No. BD-P90 & BDP109
Borrowing from IPFF II of World Bank

5,897,934,590	3,728,001,236
601,311,923	405,235,883
6,499,246,513	4,133,237,119

11.2.1 Borrowing from EECFP JICA Loan No. BD-P90 & BDP109

Principal borrowing
Interest due

Amount in Taka	
31-Dec-21	31-Dec-20
5,747,613,792	3,648,926,951
150,320,798	79,074,284
5,897,934,590	3,728,001,236

11.2.2 Borrowing from IPFF II of World Bank

Principal borrowing
Interest due

557,463,514	378,843,514
43,848,409	26,392,369
601,311,923	405,235,883

12 Deposits and other accounts

Current deposits and other accounts
Bills payable
Savings deposits
Term deposits
Bearer certificate of deposit
Other deposits

-	-
-	-
-	-
-	-
-	-
-	-

13 Other liabilities

Provision for income tax (Note- 13.1)
Account payables (Note- 13.2)
Advance income
Provision for leases, loans, advances and others (Note- 13.5)
Deferred tax liabilities (Note- 13.3)
Employee benefit liabilities (Note- 13.4)
Audit fees payable
Security deposit payable
Interest suspense account (Note- 13.6)
Interest payable

5,932,297,580	5,120,425,388
12,155,312	10,533,441
-	5,202,624
2,357,837,443	1,671,846,464
-	-
9,786,615	3,222,615
542,600	386,750
109,418	109,418
1,532,517,776	1,277,763,809
11,098,048	33,106,681
9,856,344,792	8,122,597,188

13.1 Provision for income tax

Opening balance
Addition during this period
Less : Adjustment
Closing balance

5,120,425,388	4,481,795,907
811,872,192	638,629,481
-	-
5,932,297,580	5,120,425,388

13.2 Account payables

Withholding and payroll tax
Withholding VAT
Bill payables
Provision for incentive bonus
Honorarium payable
Salary payable
Excise duty payable

411,987	326,413
226,725	245,134
3,198,462	1,591,118
8,308,539	8,272,222
-	85,554
9,599	13,000
-	-
12,155,312	10,533,441

13.3 Deferred tax liabilities (Assets)

Opening balance
Deferred tax expense/(income) during the period

(6,045,714)	973,401
1,888,405	(7,019,115)
(4,157,309)	(6,045,714)

Taxable temporary difference

Carrying amount of fixed assets as per accounting base
Carrying amount of fixed assets as per tax base
Taxable temporary difference on fixed assets
Applicable tax rate
Closing deferred tax liabilities (Assets)
Deferred tax liabilities (assets) at the beginning of the period
Deferred tax expense/(income) during the period

194,847,232	214,292,676
205,240,505	229,406,962
(10,393,274)	(15,114,286)
40.00%	40.00%
(4,157,309)	(6,045,714)
(6,045,714)	973,401
1,888,405	(7,019,115)

13.4 Employee benefit liabilities

Gratuity Fund (GF) payable

Opening Balance
Addition during the period
Amount transferred during the period
Closing Balance (A)

Amount in Taka	
31-Dec-21	31-Dec-20

2,888,030	1,108,780
6,564,000	1,779,250
-	-
9,452,030	2,888,030

Contributory Provident Fund (CPF) payable

Opening Balance
Addition during the period
Amount transferred during the period
Closing Balance (B)
Total (A+B)

334,585	674,598
4,588,346	4,539,775
(4,588,346)	(4,879,788)
334,585	334,585
9,786,615	3,222,615

13.5 Provision for leases, loans, advances, investment, and others

General provision

Leases, loans and advances:

Opening balance
Addition during the period

Closing balance (i)

Investment:

Opening balance
Addition/(deduction) during the period

Closing balance (ii)

Off-balance sheet item:

Opening balance
Addition during the period

Closing balance (iii)

Closing balance of total general provision i+ii+iii (A)

Specific provision

Leases, loans and advances:

Opening balance
Addition during the period

Closing balance (i)

Investment:

Opening balance
Addition during the period

Closing balance (ii)

Closing balance of total specific provision i+ii (B)

Covid-19 special provision for leases, loans and advances

Opening balance
Addition during the period

Closing balance (C)

Other provision

Fixed Deposit Receipts (FDRs)

Opening balance
Addition during the period

Closing balance (i)

Provision for other assets

Opening balance
Addition during the period

Closing balance (ii)

Closing balance of total other provision i+ii (D)

Closing balance of total provision maintained (A+B+C+D)

205,123,298	205,123,298
(18,917,708)	-
186,205,590	205,123,298

31,540,503	31,540,503
(8,128,988)	-
23,411,515	31,540,503

-	-
2,471,581	-
2,471,581	-

212,088,686	236,663,801
--------------------	--------------------

29,883,945	29,883,945
459,752,507	-
489,636,452	29,883,945

250,000,000	250,000,000
-	-
250,000,000	250,000,000
739,636,452	279,883,945

-	-
218,367	-
218,367	-

1,154,938,717	654,938,717
250,595,221	500,000,000
1,405,533,938	1,154,938,717

360,000	360,000
-	-
360,000	360,000

1,405,893,938	1,155,298,717
2,357,837,443	1,671,846,464

BIFFL maintained FDR accounts with different Banks and NBFIs licensed by Bangladesh Bank. However, due to the current market liquidity position and covid pandemic situation, some NBFIs have been facing difficulties to pay back the due amount on maturity. Nonetheless, BIFFL is pursuing the recovery drive continuously and has recovered significant amount from different Banks and NBFIs, and strong persuasion to recover the total fund is still continued. As BIFFL is wholly owned by the GoB, there is minimum chance of not being able to recover against this investments. The Board of Directors of BIFFL is also monitoring this issue from their position to recover the whole FDR amount. Besides that to build resilience against the economy and market shock, BIFFL has decided to build some provision against these FDRs.

Amount in Taka	
31-Dec-21	31-Dec-20

13.5.1 Provision for loans, advances and investments

General provision
Statutory requirement
Voluntary provision
Specific Provision
Statutory requirement
Voluntary provision

212,088,686	236,663,801
212,088,686	218,496,905
-	18,166,896
739,854,819	279,883,946
739,854,819	279,883,946
-	-
951,943,505	516,547,747

13.5.2 Other provision

Statutory requirement
Voluntary provision

575,298,717	575,298,717
830,595,221	580,000,000
1,405,893,938	1,155,298,717

13.5.3 Total provision

Statutory requirement
Voluntary provision

1,527,242,222	1,073,679,568
830,595,221	598,166,896
2,357,837,443	1,671,846,464

13.6 Interest suspense account

On leases, loans and advances:

Opening balance
Addition during the period
Transferred to interest income

690,340,593	41,768,560
752,755,917	652,968,679
(694,794,571)	(4,396,646)
748,301,939	690,340,593

Closing balance (i)

On Investment

Opening balance
Addition during the period
Transferred to interest income

33,887,233	34,187,233
-	-
-	(300,000)
33,887,233	33,887,233

Closing balance (ii)

On Fixed Deposit Receipts (FDRs)

Opening balance
Addition during the period
Transferred to interest income

553,535,983	358,400,474
405,121,847	460,806,646
(208,329,226)	(265,671,137)
750,328,604	553,535,983
1,532,517,776	1,277,763,809

Closing balance (iii)

Closing balance of interest suspense account (i+ii+iii)

Amid the covid-19 pandemic, some projects whose installments were not due and remain standard in the reporting period were adversely affected, and project operation was stagnant. Considering the potential adverse impact of the Covid-19 pandemic and advice of Board, out of the interest on loans and advances BDT19,72,40,175.60 interest accrued on loans and advances with standard classification status set aside from the interest income and BDT16,86,64,127.50 net of recovered amount kept in the interest suspense account. This amount will be eventually recognized as interest income depending on the recovery. Besides, BIFFL made the short-term investment (FDRs) to different banks and Financial Institutes (FIs) based on satisfactory performance and ratings. However, due to vulnerable conditions in the money markets and liquidity crises, some banks and FIs struggle to pay back the due amount on maturity dates. Therefore, considering the ongoing liquidity crisis and vulnerable conditions in the money market, interest accrued on FDRs has been transferred to the interest suspense account.

13.6.1 Interest Suspense on FDR

Bangladesh Industrial Finance Company (BIFC) Ltd.
First Finance Ltd.
ICB Islamic Bank Ltd.
BD Finance and Investment Ltd.
FAS Finance and Investment Ltd.
Padma Bank Ltd.
International Leasing and Financial Services Ltd.
Peoples Leasing and Financial Services Ltd.
Aviva Finance Ltd. (Reliance Finance Ltd.)
Union Capital Limited
Prime Finance and Investment Ltd.
Fareast Finance and Investment Ltd.
Premier Leasing and Finance Ltd.
Interest Suspense A/C FDRs- Accrual
Total

134,715,145	86,167,928
15,919,031	16,691,061
-	-
-	-
143,260,485	98,911,315
-	1,688
202,794,824	143,795,960
32,151,835	32,151,835
-	-
89,221,607	68,334,187
-	3,750,000
42,724,028	20,194,790
48,202,586	33,940,193
41,339,064	49,597,026
750,328,604	553,535,983

14 Share capital

14.1 Authorized capital

1,000,000,000 ordinary shares of Tk.100 each

Amount in Taka	
31-Dec-21	31-Dec-20

100,000,000,000 100,000,000,000

14.2 Issued, subscribed & paid up capital

23,08,00,000 ordinary shares of Tk.100 each

23,080,000,000 23,080,000,000

14.3 Capital adequacy and market discipline

As per Capital Adequacy and Market Discipline for Financial Institutions guideline of Bangladesh Bank, BIFFL calculated minimum capital requirement by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I. BIFFL maintain Capital Adequacy Ratio (CAR) of minimum 10%.

Tier-1 (Core capital)

Fully paid-up capital/ capital lien with BB
Statutory reserve
Non-repayable share premium account
General reserve
Retained earnings
Minority interest in subsidiaries
Non- cumulative irredeemable preference shares
Dividend equalization account
Others (any item approved by Bangladesh Bank)

23,080,000,000	23,080,000,000
1,889,879,355	1,767,400,439
-	-
150,000,000	100,000,000
1,411,691,666	1,188,405,645
-	-
-	-
-	-
-	-
<u>26,531,571,021</u>	<u>26,135,806,084</u>

Sub-Total

Deductions from tier-1 (Core capital)

Book value of goodwill and value of any contingent assets which are shown as assets
Shortfall in provisions required against classified assets
Shortfall in provisions required against investment in share
Remaining deficit on account of revaluation of investments in securities after netting off any other surplus on the securities
Any investment exceeding the approved limit
Investments in subsidiaries which are not consolidated
Others (if any)

-	-
-	-
-	-
-	-
-	-
-	-
-	-
-	-
-	-

Sub-Total

Total eligible Tier-1 capital

26,531,571,021 26,135,806,084

Tier-2 (Supplementary capital)

General provision (Unclassified up to specified limit+ SMA+ off balance sheet exposure)
Assets revaluation reserves upto 50%
Revaluation reserve for securities up to 50%
All other preference shares
Others (any item approved by Bangladesh Bank)

195,202,038	236,663,801
-	-
-	-
-	-
-	-
-	-

Sub-Total

Deductions, if any

Total eligible Tier-2 capital

195,202,038 236,663,801

Total capital

26,726,773,059 26,372,469,885

Total risk weighted asset

20,290,829,741 21,845,951,870

Required capital

2,029,082,974 2,184,595,187

Surplus/(deficit)

24,697,690,085 24,187,874,699

Capital Adequacy Ratio (CAR)

132% 121%

On core capital (Tier-1)

131% 120%

On supplementary capital (Tier-2)

1% 1%

Amount in Taka	
31-Dec-21	31-Dec-20

15 Statutory reserve

Opening balance	1,767,400,439	1,659,085,617
Add: Transferred from profit during the year	122,478,916	108,314,822
Closing balance	1,889,879,355	1,767,400,439

In compliance with the Rule 6 of The Financial Institutions Regulations 1994, the company transfers 20% of its net profit after tax to statutory reserve for the respective period .

16 General reserve

Opening balance	100,000,000	50,000,000
Addition during the period	50,000,000	50,000,000
Closing balance	150,000,000	100,000,000

17 Retained earnings

Opening balance	1,188,405,645	986,342,467
Add: Net profit for the period	612,394,582	541,574,113
	1,800,800,227	1,527,916,580
Less:		
Transferred to statutory reserve for the period	122,478,916	108,314,823
Transferred to general reserve for the period	50,000,000	50,000,000
Stock dividend	-	-
Cash dividend	216,629,645	181,196,112
	389,108,561	339,510,935
Closing balance	1,411,691,666	1,188,405,645

18 Contingent liabilities

In the normal course of business, the Company makes certain commitments in favor of clients and incurs some contingent liabilities. No material losses are anticipated as a result of these transactions. These contingent liabilities and commitments are quantified below.

Acceptances and endorsements	-	-
Letter of comfort (Note- 18.1)	247,158,051	454,800,000
Irrevocable letters of credit	-	-
Bills for collection	-	-
Indemnity bond	-	-
Corporate guarantee	-	-
	247,158,051	454,800,000

18.1 Letter of comfort (Note- 18.1)

The Company gives the comforts to third parties on behalf of clients. Letter of comfort represents an undertaking that the Company will pay to third parties and it converts into loans or lease on the basis of the agreement with the clients. The maximum amount that the Company could be required to pay under the comforts is its principal amount.

Directors or officers	-	-
Government	-	-
Banks and other financial institutions	-	-
Customers	247,158,051	454,800,000
	247,158,051	454,800,000

Amount in Taka	
Jan-Dec'2021	Jan-Dec'2020

19 Income statement

19.1 Income

Interest, discount and similar income	-	-
Interest income on leases, loans and advances (Note- 20)	1,370,359,895	1,120,550,039
Investment income (Note- 22)	290,892,324	325,936,996
Other operating income (Note- 23)	689,999,574	453,952,651
	2,351,251,794	1,900,439,685

19.2 Expenses

Interest expenses on deposits, borrowings etc. (Notes- 21)	119,530,730	90,286,117
Salary and allowances (Note- 24)	65,342,353	61,387,080
Rent, taxes, insurance, electricity etc. (Note-25)	2,101,236	1,714,828
Legal expenses (Note- 26)	351,094	195,188
Postage, stamp, telecommunication etc. (Note- 27)	2,323,655	1,666,318
Stationery, printing, advertisement etc. (Note- 28)	1,846,658	1,866,053
Managing Director's salary and allowances (Note- 29)	9,236,712	6,983,548
Directors' fees (Note- 30)	953,316	909,318
Auditors' fees (Note- 31)	410,350	404,000
Charges on loan losses	-	-
Depreciation and repairs of company's assets (Note- 32)	20,605,411	45,523,680
Other operating expenses (Note- 33)	19,029,721	17,030,777
	241,731,236	227,966,907

20 Interest income on leases, loans and advances

Interest income from term loan (Note- 20.1)	1,370,359,895	1,120,550,039
	1,370,359,895	1,120,550,039

20.1 Interest income from term loan

Interest income from loan to large infrastructure projects	1,081,998,963	935,564,419
Interest income from loan to sustainable and eco-friendly projects	286,099,470	181,122,302
Interest income from loan to women entrepreneurs	1,715,285	3,198,615
Interest income from staff loan	546,177	664,703
	1,370,359,895	1,120,550,039

21 Interest expenses on deposits, borrowings etc.

Interest expense on BB refinance scheme	30,828,177	37,274,931
Interest expense on borrowing in the form of Term Deposits	-	1,715,278
Interest expense on borrowing from IPFF II of World Bank	17,456,040	19,478,221
Interest expense on borrowing from JICA	71,246,513	31,817,687
	119,530,730	90,286,117

22 Investment income

Interest income from commercial paper (Note- 22.1)	-	300,000
Interest income from bond (Note- 22.2)	106,336,046	118,386,965
Dividend income from preference share (Note- 22.3)	184,556,279	207,250,031
	290,892,324	325,936,996

		Amount in Taka	
		Jan-Dec'2021	Jan-Dec'2020
22.1 Interest income from Commercial Paper			
Computer Source Ltd.	-	300,000	
	-	300,000	
22.2 Interest income from Bond			
IDLC Zero Coupon Bond	21,178,680	27,380,635	
Ashuganj Power Station Company Ltd.	85,157,366	91,006,330	
	106,336,046	118,386,965	
22.3 Dividend income from Preference Share			
Kushiara Power Company Ltd.	49,644,658	58,304,493	
Summit Gazipur II Power Ltd.	9,562,785	10,000,000	
Bhairab Power Ltd.	19,834,049	18,947,945	
Doreen Power House & Technologies Ltd.	47,913,585	44,100,457	
Rajlanka Power Company Ltd.	10,341,554	19,616,771	
Zodiac Power Chitttagong Ltd.	18,627,945	21,600,000	
Ace Alliance Power Ltd.	28,631,703	34,680,365	
	184,556,279	207,250,031	
23 Other operating income			
Interest income (FDRs)	163,670,359	240,794,887	
Interest on short term loan (STL)	2,726,951	2,766,221	
Interest on SND	518,264,486	195,464,647	
Fees income (Note- 23.1)	4,300,508	14,920,148	
Gain on disposal of assets	435,999	6,747	
Non eligible portion of CPF	601,270	-	
	689,999,574	453,952,651	
23.1 Revenue from fees			
Other fees	4,300,508	14,920,148	
	4,300,508	14,920,148	
24 Salary and allowances			
Salary and allowances	50,513,304	45,418,255	
Bonus	8,265,049	14,189,575	
Gratuity expenses	6,564,000	1,779,250	
	65,342,353	61,387,080	
25 Rent, taxes, insurance, electricity etc.			
Rent and taxes	3,632	-	
Utility bills	1,373,604	1,164,554	
Health insurance premium	724,000	543,606	
Vehicle insurance premium	-	6,668	
	2,101,236	1,714,828	
26 Legal expenses			
Legal expense	139,500	1,603	
Renewal & registration	186,316	173,990	
Stamp cost	25,278	19,595	
	351,094	195,188	

Amount in Taka	
Jan-Dec'2021	Jan-Dec'2020

27 Postage, stamp, telecommunication etc.

Postage and courier
Telephone, telex, fax and mobile
Networking expense
Internet bandwidth charge

372	2,500
491,148	431,568
672,000	672,000
1,160,135	560,250
2,323,655	1,666,318

28 Stationery, printing, advertisement etc.

Stationery and printing
Advertisement and publicity
Books and periodicals
Business development expenses
Binding and spiral
Gift expenses

1,582,087	1,079,615
244,734	179,627
19,026	14,987
-	589,685
810	2,140
-	-
1,846,658	1,866,053

29 Managing Director's salary and allowances

Basic pay and allowances
Bonus
Gratuity expenses

7,920,000	5,263,548
1,316,712	1,720,000
-	-
9,236,712	6,983,548

30 Directors' fees

Honorarium for attending meeting

953,316	909,318
953,316	909,318

31 Auditors' fees

Annual statutory audit fees
Other audit fees

232,100	220,000
178,250	184,000
410,350	404,000

32 Depreciation and repairs of company's assets

Repair & maintenance
Depreciation on company's fixed assets (Annexure-A)
Loss on disposal of assets

982,813	953,658
19,622,597	44,570,022
1	-
20,605,411	45,523,680

33 Other operating expenses

Office maintenance
Training expenses
Bank charges & commission
Entertainment expenses
Promotional expenses
Consultancy and professional Fees
Project site supervision, travelling and conveyance expenses
Tax consultant fees
Recruitment expenses
CIB service charges
CSR expenses
IT maintenance
Anti money laundering and national integrity strategy related expenses

6,344,760	4,727,648
3,833	71,775
2,864,640	1,670,418
2,520,161	2,091,923
-	100,000
1,720,278	1,056,388
2,219,147	2,058,725
-	-
-	224,887
26,661	221,552
1,805,000	2,450,000
1,525,242	2,196,346
-	161,115
19,029,721	17,030,777

Amount in Taka	
Jan-Dec'2021	Jan-Dec'2020

34 Provision for investment, leases, loans and advances

General provision
Specific provision
Covid 19 special provision

(24,575,115)	-
459,752,507	-
218,367	-
435,395,758	-

35 Other provision

Provision on FDR
Provision on other assets

250,595,221	500,000,000
-	-
250,595,221	500,000,000

35.1 Provision on FDR

On FDR with other financial institutes

250,595,221	500,000,000
250,595,221	500,000,000

36 Provision for income tax

Current tax (Note- 36.1)
Deferred tax (income)/expense during the period

811,872,192	638,629,481
(737,195)	(7,730,816)
811,134,997	630,898,665

36.1 Current tax expense

Income tax expense during the period
Previous year shortage of tax provision

811,872,192	638,629,481
-	-
811,872,192	638,629,481

36.2 Effective tax rate

Income tax expense (A)
Profit before income tax (B)
Effective tax rate (A/B)

811,134,997	630,898,665
1,423,529,579	1,172,472,778
56.98%	53.81%

36.3 Reconciliation of effective tax rate

Profit before income tax
Applicable tax rates
Income tax
Income tax on net inadmissible expenses and provision
Tax savings from tax rates lower than applicable rate
Effect of deferred tax
Income tax expenses
Effective tax rate

2021		2020	
%	Taka	%	Taka
	1,423,529,579		1,172,472,778
	40%		40%
40%	569,411,831	40%	468,989,111
19.63%	279,371,616	18.00%	211,090,376
-2.59%	(36,911,256)	-3.54%	(41,450,006)
-0.05%	(737,195)	-0.66%	(7,730,816)
56.98%	811,134,997	53.81%	630,898,665
	56.98%		53.81%

37 Earning per share

Earnings Per Share (EPS) has been computed by dividing the basic earning by the weighted average number of ordinary shares outstanding at the end of the year as per IAS 33 'Earnings Per Share'. EPS has been calculated as follows:

Net profit after tax
Weighted average number of ordinary shares outstanding
Earning Per Share (EPS) restated

612,394,582	541,574,113
230,800,000	230,800,000
2.65	2.35

Amount in Taka	
Jan-Dec'2021	Jan-Dec'2020

37.1 Weighted average number of ordinary number of shares outstanding for the year ended on 31 December 2021

Particulars	Shares	Weighted average numbers of ordinary shares
1-Jan-21	230,800,000	230,800,000
	<u>230,800,000</u>	<u>230,800,000</u>

38 Net Asset Value per share

Net assets (total assets less total liabilities)
Weighted average number of ordinary shares outstanding
Net Asset Value (NAV) per share

26,531,571,021	26,135,806,084
230,800,000	230,800,000
<u>114.95</u>	<u>113.24</u>

39 Net operating cash flow per share

Net cash flow from operating activities
Weighted average number of ordinary shares outstanding
Net operating cash flow per share

5,976,586,789	2,611,631,723
230,800,000	230,800,000
<u>25.90</u>	<u>11.32</u>

40 Related party disclosures

BIFFL entered into a number of transactions with related parties in the normal course of business. The name of the significant related parties, nature of these transactions and amounts are set out below according to the provisions of IAS 24, 'Related Party Disclosures'. Transactions with related parties are executed on the same terms, including interest rate and collateral, as those prevailing at the time for comparable transactions with other customers of similar credentials and do not involve more than a normal risk.

40.1 Particulars of the directors and the transactions with them

a. Name of the directors

Mr. Abdur Rouf Talukder

Senior Secretary, Finance Division, MoF

Mr. Md. Anisur Rahman

Senior Secretary, E&MR Division, MoPE&MR

Mr. Md. Nazrul Islam

Secretary, Road Transport & Highways Division, MoRT&B

Mr. Md. Abu Bakr Siddique

Secretary, Bridges Division, MoRT&B

Mr. M. Tofazzel Hossain Miah

Senior Secretary, Prime Minister's Office

Ms. Fatima Yasmin

Secretary, Economic Relations Division, MoF

Mr. Md. Habibur Rahman

Secretary, Power Division, MoPE&MR

Mr. Hasan Khaled Foisal

Joint Secretary, Finance Division, MoF

Position in BIFFL

Date of Appointment

Chairman	08.08.2018
Director	27.02.2020
Director	07.11.2017
Director	17.07.2021
Director	27.02.2020
Director	04.06.2020
Director	31.12.2020
Director	18.11.2021

Amount in Taka	
Jan-Dec'2021	Jan-Dec'2020

b. Transactions with the directors

Mr. Abdur Rouf Talukder (Chairman)
Mr. Md. Anisur Rahman (Director)
Mr. Md. Nazrul Islam (Director)
Mr. Mohammed Belayet Hossain (Director)
Mr. M. Tofazzel Hossain Miah (Director)
Ms. Fatima Yasmin (Director)
Mr. Md. Habibur Rahman (Director)
Mr. Md. Ekhlasur Rahman (Director)
Mr. Hasan Khaled Foisal
Mr. Md. Abu Bakr Siddique

Nature of transactions
Transaction amount (Tk.)

Meeting Remuneration	97,776
Meeting Remuneration	134,442
Meeting Remuneration	97,776
Meeting Remuneration	48,888
Meeting Remuneration	122,220
Meeting Remuneration	134,442
Meeting Remuneration	122,220
Meeting Remuneration	97,776
Meeting Remuneration	24,444
Meeting Remuneration	73,332

Total
953,316
40.2 Details of transactions (excluding salary and employment benefits) with key management personnels:

Name of the personnel	Types of transactions	Outstanding Balances as on 31 December 2021
Mohammad Sagir Hossain Khan (Chief Operating Officer)	Car loan	1,547,126
Mohammad Monirul Islam Khan FCS (Company Secretary)	Home loan	8,182,576
Sk Anower Sadat (Head of C&ID)	Car loan	1,291,970
Md. Tanvir Warsi (Head of CRMD)	Car loan	1,482,096
		12,503,768
Car loan:		
Balance at 01 January	6,342,639	8,198,502
Disbursements made during the period	-	-
Interest charged during the period	149,261	213,404
Loans adjusted during the period	(2,170,708)	(2,069,268)
Balance at 31 December	4,321,192	6,342,639
Home loan:		
Balance at 01 January	8,985,660	6,384,361
Disbursements made during the period	-	3,350,000
Interest charged during the period	396,917	451,299
Loans adjusted during the period	(1,200,000)	(1,200,000)
Balance at 31 December	8,182,576	8,985,660

41 Claim not acknowledged as Debt

There was no claim against the financial institution unacknowledged as debt as on 31 December 2021.

42 Receivable from directors

No amount is due from any of the directors of the Company.

43 Disclosure regarding branch

As at 31 December 2021, the Company has no branch in or outside Bangladesh.

44 Executive Committee and Audit Committee

To conform with the Bangladesh Bank guidelines, the Board of Directors of BIFFL constituted the Executive Committee (EC) and Audit Committee (AC) as a sub committee of the Board and the committee met several times during the year 2021.

45 Rounding off

Monetary figures in the financial statements have been rounded off to the nearest Taka.

46 Approval of the financial statements and declaration of dividend.

The Board of Directors in its 103rd meeting held on 30 May 2022 approved the financial statements and recommended BDT 244,957,832.81 as cash dividend for the year ended on 31 December 2021 for onward approval by shareholders of the Company at 11th Annual General Meeting (AGM).

47 Events after the reporting period

As per IAS 10 'Events after the Reporting Period' events after the reporting period are those events, favorable and unfavorable, that occur between the end of the reporting period and the date when the financial statements are authorized for issue. Two types of event can be identified:

- (a) Adjusting events after the reporting period which provide evidence of conditions which existed at the end of the reporting period; and
- (b) Non adjusting events after the reporting period, are those that are indicative of conditions that arose after the reporting period.

The details about the events after reporting period are as follows:

- (i) On 12 May 2022 BIFFL received BDT222,451 from staff contributory provident fund account against the forfeited amount from outgoing employees for the year ended on 31 December 2021 and recorded the amount under other income on the same date.
- (ii) On 11 March 2020, COVID-19 has been declared a pandemic by the World Health Organisation, and Bangladesh Government has taken restrictive measures including declared general public holidays to contain its further spread affecting free movement of people and goods. As a consequence, the COVID-19 outbreak has brought about additional challenges in the Company's operating environment and has impacted its operations. Essentially Bangladesh Bank is governing the operational model which is a limited scale operation. BIFFL is closely monitoring the impact of the developments on the Company's businesses. As the situation is fast evolving, the effect of the outbreak is subject to significant levels of uncertainty, with the full range of possible effects unknown.

There is no other material adjusting or non adjusting events after the reporting period.

For Bangladesh Infrastructure Finance Fund Limited


Company Secretary


Chief Executive Officer


Director


Chairman

Dated, Dhaka 30 MAY 2022

Annexure -A

Bangladesh Infrastructure Finance Fund Ltd.
Schedule of Fixed Assets & Intangible Assets
As at 31 December 2021

Amount in Taka

Particulars	Cost				Rate	Depreciation				Written down value	
	Balance as at 01.01.21	Addition during the year	Disposal/ adjustment during the year	Balance as at 31.12.21		Balance as at 01.01.21	Charged during the year	Disposal/ adjustment during the year	Balance as at 31.12.21	As at 31.12.21	As at 31.12.20
Computer & IT Equipment											
Scanner & Printer	871,968	-	-	871,968	33.33%	766,433	87,533	-	853,965	18,003	105,535
Desktop & Laptop	6,186,727	166,010	103,805	6,248,932	33.33%	5,480,594	560,908	103,804	5,937,698	311,233	706,133
LT Pannel & PFI Plant & PABX & Others	9,139,468	-	-	9,139,468	33.33%	7,979,032	1,157,051	-	9,136,083	3,385	1,160,436
Multimedia Projector	541,200	-	-	541,200	33.33%	473,262	67,932	-	541,194	6	67,938
Projector Screen	20,000	-	-	20,000	33.33%	19,999	-	-	19,999	1	1
Wifi System	432,000	-	-	432,000	33.33%	432,000	-	-	432,000	0	0
Office Equipment											
Office Equipment	10,093,010	-	-	10,093,010	20%	5,876,112	1,699,933	-	7,576,045	2,516,965	4,216,898
HVAC	9,461,619	-	-	9,461,619	10%	2,029,327	946,162	-	2,975,489	6,486,130	7,432,292
Refrigerator	187,881	-	-	187,881	12.50%	50,509	23,485	-	73,994	113,887	137,372
Electric Meter	9,400	-	-	9,400	10%	7,520	940	-	8,460	940	1,880
Wasa Meter	5,980	-	-	5,980	10%	5,381	598	-	5,979	1	599
Civil Construction	1,536,612	-	-	1,536,612	50%	1,536,611	-	-	1,536,611	1	1
Building	291,527,555	-	-	291,527,555	2.50%	127,372,734	7,288,189	-	134,660,923	156,866,632	164,154,821
Furnitures & Fittings	37,134,860	11,144	-	37,146,004	10%	8,620,698	3,709,420	-	12,330,118	24,815,885	28,514,162
Vehicle	35,276,946	-	2,642,323	32,634,623	20%	27,482,334	4,080,447	2,642,322	28,920,459	3,714,164	7,794,612
Sub total	402,425,225	177,154	2,746,128	399,856,251		188,132,546	19,622,598	2,746,126	205,009,018	194,847,232	214,292,676
Intangible assets											
Website	172,500	-	-	172,500	50%	172,500	-	-	172,500	-	-
Accounting software	112,860	-	-	112,860	50%	112,860	-	-	112,860	-	-
Capital work in progress (software)	8,800,000	-	-	8,800,000	N/A	-	-	-	-	8,800,000	8,800,000
Sub total	9,085,360	-	-	9,085,360		285,360	-	-	285,360	8,800,000	8,800,000
Total	411,510,585	177,154	2,746,128	408,941,611		188,417,906	19,622,598	2,746,126	205,294,378	203,647,232	223,092,676

